

atrium

The Life Science Reckoning Through the Lens of Bank OZK

— Oct 22, 2025



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About Atrium

Atrium is a financial and real estate intelligence platform built to give banks, developers, and investors a clear lens into the health of commercial real estate. We aggregate, normalize, and analyze granular data from bank regulatory filings, county recorder offices, UCC financing statements, and securities disclosures, and link it to property-level data including mortgages, tax records, imagery, and developer filings. This combination allows us to track credit performance and asset valuations across the U.S. in a way that is transparent, timely, and actionable.

Our core mission is to bring bank-level transparency to CRE: highlighting how loans were underwritten, how valuations have migrated, and what current market fundamentals imply for risk and opportunity.

— **atriumdata.ai**

All of the data and analytics used in this report are available via subscription access to our platform. Subscribers receive full property-level profiles, loan and sponsor details, valuation history, and market benchmarking tools.

Methodology

For this report we applied our proprietary “Atrium Signals” framework across ten Bank OZK life science loans, producing both as-market and as-stabilized valuation views:

- **As Stabilized Valuation at Origination:** In addition to as-market and as-stabilized views, Atrium also benchmarks the as-stabilized valuation at origination as reported by Bank OZK and its appraisers. This provides an anchor to the assumptions under which loans were originated and highlights the migration of values over time.
- **As Market Valuation** assumes the property achieves current market occupancy at current market rates with submarket appropriate cap rates.
- **As Stabilized Valuation** assumes the property achieves market occupancy at normalized terms, and capitalizes stabilized NOI using submarket-appropriate cap rates.
- **Loan-to-Value (LTV) Metrics** are shown both on total commitments and on estimated funded balances (we assume 70% funding unless actual disclosures differ, as in the case of RaDD). This distinction highlights the gap between headline exposure and real-time credit risk.
- **Risk Grades** are assigned on a 1–9 scale consistent with bank “pass/watch/classified” frameworks, where a Risk Grade 5 (“Pass – Higher Risk”) typically reflects projects with sponsor support and theoretical coverage but elevated leasing or market risk.

Risk Grades



Authors



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Founder & CEO, Atrium

Ryan has built Atrium to become the leading independent source of CRE credit intelligence. He previously co-founded Brightscope, a financial data and analytics company acquired by Strategic Insight, and has spent over a decade building datasets that help institutional clients understand risk in opaque markets. At Atrium, Ryan leads product development and strategy, with a particular focus on linking bank disclosures to property-level fundamentals.



Graham Beatty

Chief Finance Officer, CRE Market Lead

Graham brings over two decades of real estate and private equity investment expertise to Atrium. He most recently served as Chief Financial Office for Phase 3 Real Estate Partners, a developer focused exclusively on life science assets, where he oversaw the financing of over \$2B of projects across San Diego, Boston, and the Bay Areas. As Atrium's CRE Market Lead, Graham ensures that underwriting assumptions and valuation methods are aligned with market practices.

Executive Summary

Through 2021, U.S. life sciences real estate looked untouchable. Venture capital was still flowing to biopharma; NIH appropriations were ratcheting up [1, 2]. The primary markets of Cambridge, South San Francisco and coastal San Diego were functionally full. Owners and lenders came to believe the sector's tenant pipeline would outrun any deliverable supply, and that conviction underwrote a surge of development — from speculative towers on the Embarcadero in San Diego to multi-building campuses in Somerville and South San Francisco. By mid-2025 the market had flipped [3]. Availability in Boston and the Bay Area now hovers near ~30%, San Diego sits ~ 25%, and Chicago's fledgling cluster is closer to 40% [4, 5, 6]. Lease decisions are slower, first-generation TI has moved past \$200/sq ft in several submarkets, and net effective rents have slipped once concessions are priced in [7, 8]. The result is a bifurcated landscape: a handful of credit-anchored assets proving resilient—and a very long tail of new buildings that are still searching for their first lab tenant.

Bank OZK sits at the center of our life science research largely because it did the one thing most banks would not: it leaned into large, ground-up life science construction—and then told the market exactly how those loans were appraised over time. The sheer size of OZK's lending and their own transparency made OZK a lightning rod when sentiment broke. On May 29, 2024, Citi's Ben Gerlinger issued a double-downgrade, flagging two outsized exposures—a \$915M construction loan tied to IQHQ's life science campus on San Diego's waterfront, and Echo Street West, an Atlanta mixed-use ground-up build—as emblematic of rising risk [9, 10]. The stock fell ~14–16% that day as the downgrade ricocheted across financial media; the note cut the price target from \$57 to \$37 and argued that a glut of life science space and weak pre-leasing could force higher provisions. The stock however has proved resilient, rallying back to \$50.

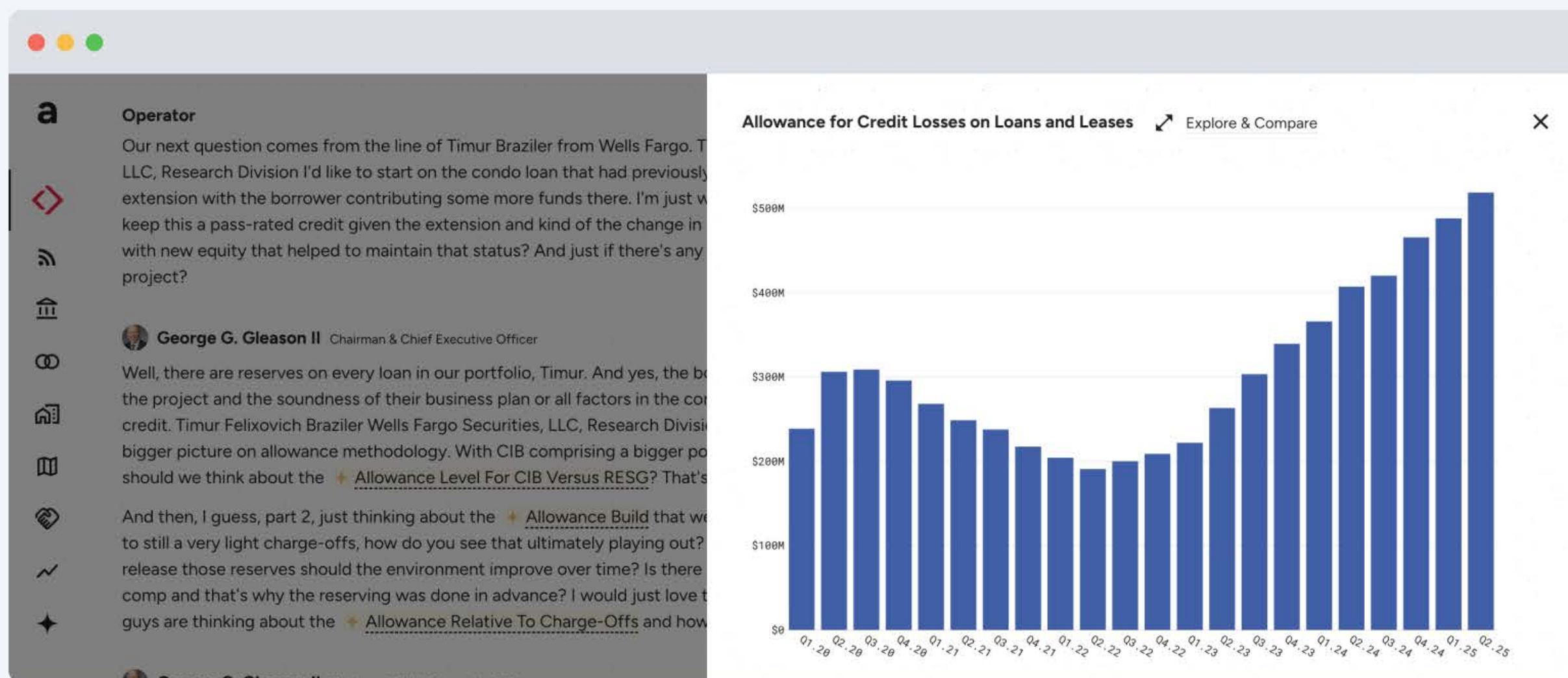
Those headlines quickly condensed into a more nuanced reality. Even within the RaDD narrative, the funded balance was materially below the headline commitment: subsequent Bank OZK disclosures emphasized that only \$555M had actually been advanced and the balance was largely reserved for TI/LC “good-news” money [11]. Furthermore, the borrower continued to meet obligations—context that matters when assessing today's as-market coverage versus tomorrow's as-stabilized story. OZK also disclosed that the sponsor contributed additional equity as the project progressed, a signal of continued support even as lease-up lagged.

If you have followed Bank OZK for more than one cycle, the market's reflex is familiar. For over a decade, analysts and short-sellers have circled the bank precisely because of its outsized construction book and national reach from a relatively small Arkansas base. In 2017–2018, critics seized on condo towers and CRE concentrations; George Gleason—OZK's architect since 1979—responded the way he usually does: with a stack of numbers and a refusal to

blink. In press and interviews, he has framed recurring worries about the bank's construction specialization as an "abnormal phobia," insisting the issue isn't construction loans per se but how they are structured, underwritten, and monitored [12]. Over time, more than a few short cases lost steam against that performance record.

2025, of course, is a different test. The life science downturn is real, and the appraisal migration is visible because OZK publishes it. But if you read the recent earnings call transcripts and IR materials, you find a consistent through-line: management argues these are sponsor-backed, reserve-funded credits where funded exposure today often sits inside as-market value, that unfunded balances are heavily tied to leasing draws, and that time and capital—rather than wholesale mark-to-market liquidations—are the business plan. The bank has also signaled portfolio actions (e.g., caps on individual loan sizes, incremental diversification, syndication where appropriate) designed to cushion concentration optics while the market works through supply. Meanwhile, quarterly results have remained profitable even as investors fixate on a handful of headline loans.

This is where our analysis comes in. Using OZK's own disclosures as scaffolding, we ran desktop appraisals across ten emblematic life science projects, tying assumptions to each submarket's current rents, concessions, and vacancy. The pattern is consistent: loans that originated around 35–50% LTV now screen materially higher on our Atrium Signals as-market and as-stabilized views once you fully load lease-up costs—TI/LC, free-rent burn, absorption loss, and carry.



— Screenshot of a chart accessed from a Bank OZK earnings call transcript on Atrium

On a commitment basis, three assets are through 100% as-market LTV (1229 W. Concord, 777 Industrial, and Aperture) with Portal 405 effectively at parity, while the balance—Pacific Center (~82%), RaDD (~86%), 808 Windsor (~73%), Chapter Building 2 (~78%), Southline (~61%), and Bioterra (~82%) — remain below. Reframed to funded balances, coverage generally improves: RaDD, Pacific Center, Bioeterra, Southline, 808 Windsor and

Chapter are all below 60% LTV. Aperture and 777 Industrial are at 73% LTV and 1229 Concord sits at 83% LTV.

The point isn't to minimize risk; it's to distinguish today's exposure from theoretical max — and to show how effective LTV migrates upward as TI/carry dollars are released absent leasing. For completeness, we also ran desktop office-conversion cases; in almost every instance they do not pencil, with values well below the senior given lower gross rents, shorter lease terms, and additional conversion capex.

It is worth underscoring the scale. The ten loans we examine — roughly \$2.8B of exposure—are a meaningful but contained slice of Bank OZK's more than \$30B commercial real estate portfolio. The bank carries significant allowances for credit losses — over \$500M as of the most recent quarter — and has increased them each quarter for the last 12. By management's math, these balances are surely fully covered against expected losses.

History also suggests it's unwise to bet against George Gleason. The bank has been through cycles where critics questioned concentration, and it has generally answered with asset-level outcomes rather than rhetoric. But history also doesn't lease buildings. The path from as-market to as-stabilized in life science now runs through a slog of tenant improvement checks and free-rent months in markets that are still absorbing a once-in-a-generation supply wave. That makes this a timing and liquidity problem as much as a valuation one. In the pages that follow, we keep the analysis grounded: submarket by submarket, building by building, we show what these assets are likely worth today, what they can be worth at stabilization, and how both commitment and funded LTVs pencil under those realities. The story that emerges is neither catastrophe nor complacency. It's a lender with unusual transparency, a sector working through indigestion, and a set of assets where sponsor quality, micro-location, and leasing craft will decide who gets to the other side intact.

Why Life Science “Clusters”

Life science clusters matter because innovation and company formation are geographically sticky [13]. Classic work shows that new-to-the-world knowledge spills over locally, making invention and firm entry more likely where researchers and firms sit close together. In biotech specifically, the presence of “star scientists” predicts where startups form and grow; micro-geographic proximity (same district/neighborhood) also raises the odds of collaborations and funding ties. In short: talent density + short travel times = faster science and more dealflow [14].

Co-location also reduces execution frictions. Labs require costly, specialized infrastructure—high outside air, robust exhaust, redundant power, lab waste systems—so the markets that already have this stock (and vendors who service it) are easier places to start or scale. Fit-out costs for labs run multiples of standard office because of the heavy MEP, so turnkey space and experienced landlords in the core clusters save time and cash compared with “first-time” markets [15].

For occupiers and lenders, that translates into shorter time-to-lab and deeper pipelines inside the big clusters (Boston–Cambridge, South San Francisco, San Diego). These ecosystems took decades to build; they combine universities/AMCs, CRO/CMO capacity, specialized compliance talent, and capital that watches the cluster closely. Location is therefore a strategic variable for portfolio planning, and cluster depth is a leading indicator of leasing velocity when cycles turn.

Implication for underwriting (e.g., in an OZK context): assets inside established clusters generally face lower leasing friction and clearer backfill paths through the cycle; assets outside the core must “import” talent, vendors, and regulatory know-how, elongating decision cycles and raising TI/carry burdens. In a soft market, that gap widens—cluster assets capture the earliest green shoots, while peripheral locations lag.

This will become important later on as we discuss where each property sits in its cluster. Attempts to “extend” a cluster is riskier than building directly within an established cluster.

Risk Matrix

Location bucket	Tenant-acquisition risk	Expected time-to-lease vs. core (indicative)	Pre-lease odds for ≥100k sq ft blocks (directional)	Concessions vs. market medians*	Typical tenant mix & pitfalls
Core Cluster Kendall/ Cambridge, SSF biotech hill, Torrey Pines/ UTC	Low–Moderate	1.0×	At/above market; benefits most from the ~50% pre-leased pipeline dynamic	Baseline (elevated in this cycle but closer to norms)	More late-stage/ Big Pharma and well-capitalized scale-ups; deeper vendor bench reduces fit-out friction.
Edge of Cluster Walkable/short drive, same vendor/talent catchment	Moderate	1.25–1.5×	Softer than core; big blocks need sharper spec and pricing	+ free rent / + LC vs. core	Still accesses cluster, but loses on “address gravity.” Tours are healthy; conversions slower.
Adjacent Sub-Market 10–20+ min away; thinner vendors/ permitting experience	Moderate–High	1.5–2.0×	Low–Moderate	++ TI & free rent; more turnkey expectations	Price-seeking mid-caps; more fall-through at LOI; longer specs/ commissioning cycles.
Non-Core / Experimental Little existing lab stock/ecosystem	High–Very High	2.0–3.0×	Low	+++ TI and extended free rent to offset risk	Fragmented demand, heavier education of EHS/authority, limited backfill options; exit liquidity thinner.

Property Profiles

All of the properties, data, and analytics used in this report are available via subscription access to our platform. Subscribers receive full property-level profiles, loan and sponsor details, valuation history, and market benchmarking tools.



IQHQ: Research and Development District (RaDD)



Gemdale: Aperture



Sterling Bay / Harrison Street: Pacific Center



Longfellow: Bioterra



Lane Partners: Southline



Leggat McCall: 808 Windsor at Boynton Yards



Sterling Bay: 1229 West Concord



Menlo Equities: Portal 405



Urban Renaissance Group: Chapter Building II



Presidio Bay Ventures: 777 Industrial

LTV and Risk Grades

Property	LTV					Risk Grade
	At Origination	Last Valuation	As Market	As Stabilized	Office	
RaDD	39%	51%	86%	55%	168%	 5
Aperture	46%	63%	104%	65%	230%	 4
Pacific Center	47%	51%	82%	61%	200%	 5
Bioterra	39%	45%	81%	56%	197%	 5
Southline	34%	47%	61%	42%	107%	 5
808 Windsor	46%	55%	73%	58%	179%	 5
1229 West Concord	52%	55%	119%	65%	273%	 7
Portal 405	41%	53%	100%	67%	170%	 6
Chapter Building II	46%	57%	78%	64%	154%	 5
777 Industrial	35%	41%	104%	69%	177%	 6



IQHQ: Research and Development District (RaDD)

RaDD

San Diego, CA

If you are writing about Bank OZK and life science you have to start on the harbor in San Diego, with what is Bank OZK's largest individual credit. Few projects embody both the promise and peril of the U.S. life science cycle more than the Research and Development District (RaDD) on San Diego's downtown waterfront. Developed by IQHQ, RaDD was conceived as a transformative, mixed-use life science hub: more than 1.7 million sq ft of lab and office space spanning five buildings on the edge of the Embarcadero, marketed as the largest urban waterfront life science campus in the country. Bank OZK provided the bulk of the senior construction financing, committing \$915M, though as of the latest disclosures only about \$555M had been funded, with an upcoming maturity in August of 2026. That distinction—between headline commitment and actual exposure—is central to evaluating OZK's risk today.

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RaDD San Diego County, CA

Property Risk Grade Valuation

 IQHQ Owner: IQHQ Radd I LLC	Market Value \$1,943,913,321	LTV 47.1%	Occupancy ⓘ 12.5%	Mortgage Type Development	Category Life Science
 Bank OZK Senior Lender: Bank of the Ozarks	Commitment ⓘ \$915,000,000	Originated Aug 26, 2022	Maturity ⓘ		Risk Grade ⓘ 5 - Criticized - Special Mention







Screenshot of Research and Development District (RaDD)'s profile on Atrium



Market Dynamics and Competitive Set

RaDD's challenges cannot be understood in isolation. Downtown San Diego was not historically a core life science node; the traditional clusters—Torrey Pines, UTC, Sorrento Mesa—still command the deepest pools of tenants and the strongest rent rolls. When IQHQ and others announced large downtown redevelopments in 2019–2020, the assumption was that tenants would trade a non-traditional location for scale, new construction, and waterfront amenities. For a moment, that thesis looked validated—venture funding surged in 2020–21, downtown projects pre-leased significant space, and construction raced forward. But make no mistake, downtown San Diego is 20+ minutes from Torrey Pines/UTC and is located squarely in the “adjacent to the core” bucket, and thus reflecting higher risk.

By 2023–24, the cycle turned. Venture capital inflows into biotech slowed, absorption stalled, and the first cracks appeared downtown. One of RaDD's peer projects—Stockdale Capital Partners' redevelopment of Horton Plaza, branded the Campus at Horton—defaulted on its \$330M construction loan in late 2024, underscoring how fragile demand had become for non-core submarkets [16]. Vacancy across San Diego's life science inventory has risen into the mid-20% range; in downtown, where base inventory was minimal, effective vacancy exceeds 50% once new deliveries are counted [17]. Asking rents have held in the \$70–75/sq ft triple-net range, but concessions are heavy: 12–18 months free rent and \$175–200/sq ft TI packages are not uncommon.

Leasing Status

As of mid-2025, RaDD remains largely unleased. J. Craig Venter Institute (JCVI) is taking 50k sq ft at RaDD, slated to occupy a full floor in The Core building with move-in targeted for 2026 [18]. IQHQ continues to market the campus aggressively, highlighting waterfront location, large contiguous blocks, and potential for corporate HQ-style tenancy. But the competitive landscape is stiff. Submarkets like Torrey Pines offer existing clusters with entrenched ecosystems, while South San Francisco and Boston continue to capture the lion's share of growth-stage biotech expansions. The scale that was once RaDD's calling card is, for now, a leasing challenge: tenants seeking 25–50k sq ft are hesitant to anchor a million-square-foot downtown project with no existing scientific ecosystem.

Atrium Signals Valuation Analysis

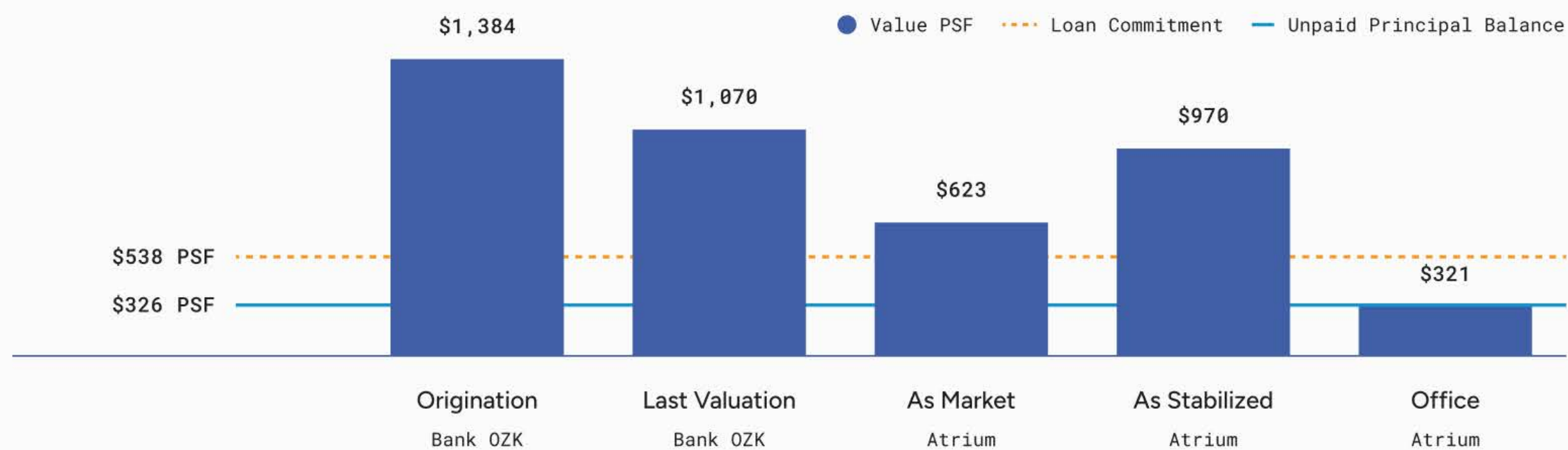
Our appraisal framework looks at RaDD from origination to current, with an as-stabilized and desktop as-market model:

- **As Stabilized Value at Origination:** When Bank OZK originated the RaDD loan in August 2022, the bank's disclosure pegged the project's as-stabilized valuation at approximately \$2.35B. That figure was consistent with



peak-cycle underwriting for life science product in San Diego: base rents in the low-\$80s per square foot NNN, modest concessions, and a stabilized occupancy assumption of ~95% applied across roughly 1.7M rentable square feet. On those inputs, the appraised net operating income would have been on the order of \$120-130M, capitalized at a mid-5% rate that mirrored the pricing of core life science trades in 2021–22.

- **As Stabilized Value at Q4 2024:** When OZK re-appraised RaDD in Q4 2024, the as-stabilized value was revised down to \$1.82B, a ~23% haircut from origination. Back-solving that figure implies that appraisers cut underwriting rents from the low-\$80s to the mid-\$70s, trimmed stabilized occupancy assumptions to ~90%, and applied a ~6% cap rate rather than the sub-5.5% levels common in 2022. In other words, the 2024 valuation reflects both softer income assumptions and risk-premium expansion, consistent with a market where downtown San Diego lab vacancy had surged past 40% and concessions materially eroded net effective rents.
- **As Market Value (Atrium):** Today, RaDD remains largely vacant—a few retail tenants and one small lab tenant — despite aggressive marketing of its retail and lab space. Under our napkin assumptions—\$72/sq ft rents, 70% market occupancy, and a 7.25% cap rate hurdle—the as-market market value is approximately \$1.06B, recognizing full carrying costs and lease-up drags.



Input					
Market Rents	\$82.50	\$75.00	\$72.00	\$75.00	\$52.00
Market Occupancy	95%	90%	70%	90%	70%
Cap Rate	5.50%	6.00%	7.25%	6.50%	6.00%
SOFR	2.28%	4.53%	4.27%	3.15%	4.27%
Output					
LTV	39%	51%	86%	55%	168%
Debt Yield	14.1%	11.7%	8.4%	11.7%	3.6%
DSCR	2.09x	1.30x	0.96x	1.53x	0.41x
Value PSF	\$1,384	\$1,070	\$623	\$970	\$321

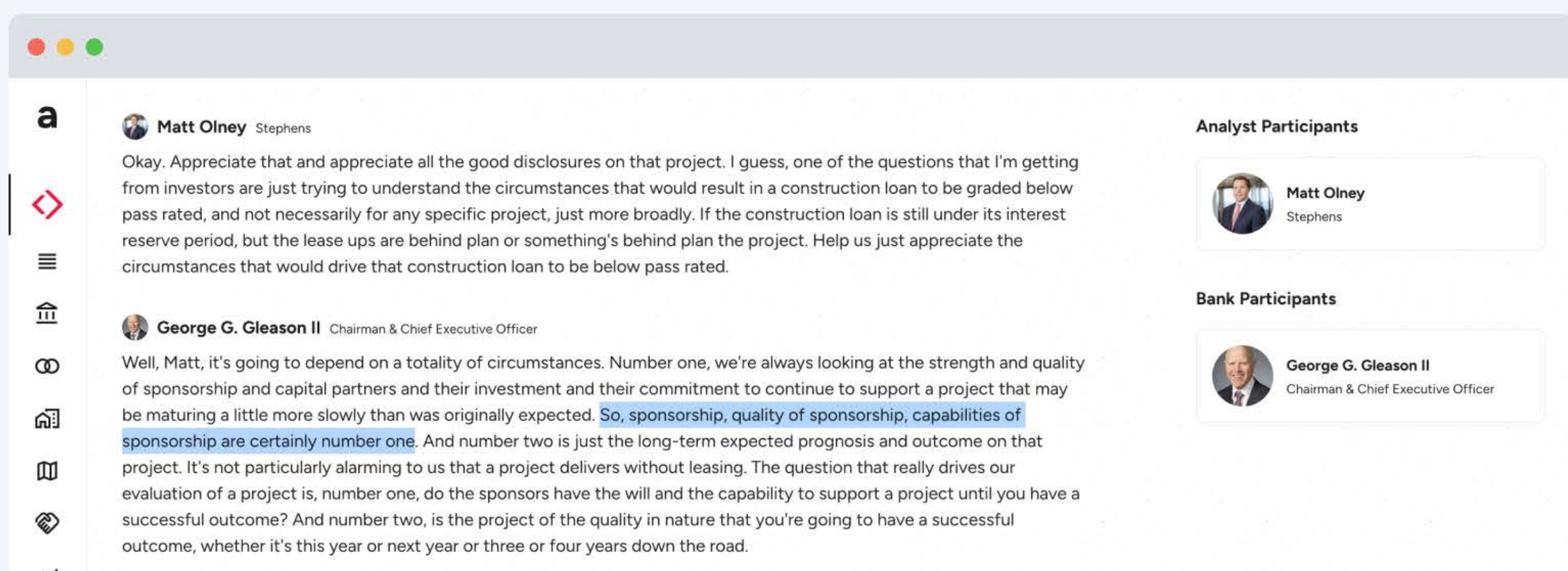


IQHQ: Research and Development District (RaDD)

- **As Stabilized Value (Atrium):** Assuming RaDD eventually leases to 90% occupancy at market rents, and stabilizes over 5–6 years with TI and LC amortized, the property could support a valuation of ~\$1.65B. This assumes rents firm in the \$70s, a normalized 6.50% cap rate, and no significant obsolescence discount.
- **As Office (Atrium):** If IQHQ attempts an office conversion, the value plummets. Trading \$72+/sq ft NNN for \$52/sq ft gross rents is painful for the business model, and downtown San Diego office is in a significant downturn with market occupancy hovering around 70%. Even with a cap rate of 6%, the office conversion would only value RaDD at \$546M, below the current UPB of the OZK loan.
- **Risk Grade 5 - Criticized - Special Mention** is appropriate today. It reflects that OZK is still secured on a funded basis and has sponsor support, but the combination of zero leasing, a weakening submarket, and looming TI/carry obligations makes this a high-risk “watch list” credit, with a meaningful probability of downgrade if conditions persist.

Implications for Bank OZK

On a commitment basis, the \$915M loan equates to ~86% of our as-market valuation—an LTV for the bank’s largest credit that explains why investors recoiled when Citi’s Gerlinger singled out RaDD. But on a stabilized basis the credit is still only 55% and on a funded basis, today’s \$555M exposure is closer to 52% of as-market and 34% of stabilized value. That distinction matters. It means OZK is not (yet) in an impaired position today, though risk rises every month that ticks by without significant leasing activity.



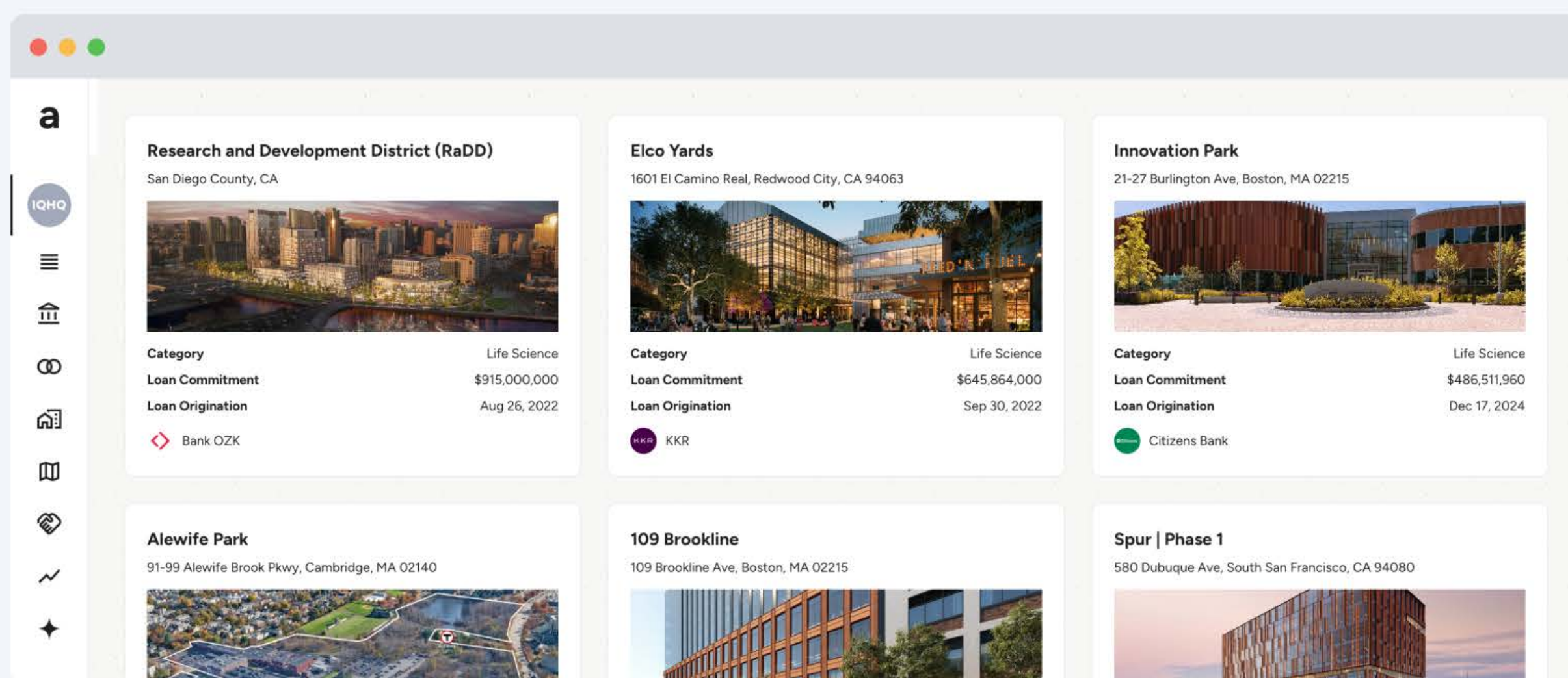
Screenshot of Bank OZK's Q2, 2025 earnings call on Atrium



IQHQ: Research and Development District (RaDD)

If we want to evaluate this credit the way George Gleason evaluates credits, a part of the evaluation is not just economics, but the quality of sponsorship. When pressed on RaDD's risk grade on the banks Q2, 2024 conference call George Gleason emphasized, what ultimately matters to his team is not just the valuation math, but whether the sponsorship can withstand the downturn. In his words: "Sponsorship, quality of sponsorship, capabilities of sponsorship are certainly number one... do the sponsors have the will and the capability to support a project until you have a successful outcome?" IQHQ is being put to that test [19].

IQHQ had a rapid rise - announcing massive life science campuses coast-to-coast and raising over \$2.5B in debt in a very short period of time from the most sophisticated lenders in the US:



Research and Development District (RaDD) San Diego County, CA	Elco Yards 1601 El Camino Real, Redwood City, CA 94063	Innovation Park 21-27 Burlington Ave, Boston, MA 02215
		
Category Life Science	Category Life Science	Category Life Science
Loan Commitment \$915,000,000	Loan Commitment \$645,864,000	Loan Commitment \$486,511,960
Loan Origination Aug 26, 2022	Loan Origination Sep 30, 2022	Loan Origination Dec 17, 2024
 Bank OZK	 KKR	 Citizens Bank
Alewif Park 91-99 Alewife Brook Pkwy, Cambridge, MA 02140	109 Brookline 109 Brookline Ave, Boston, MA 02215	Spur Phase 1 580 Dubuque Ave, South San Francisco, CA 94080
		

Screenshot of IQHQ's properties/loans on Atrium

IQHQ's executive bench is deep and credible. Co-CEOs Tracy Murphy and Steve Rosetta co-founded the firm after leading life science platforms at Kilroy Realty and Cushman & Wakefield, respectively. Executive Chairman Alan Gold is a founding figure behind Alexandria Real Estate Equities and BioMed Realty. John Bonanno, Chief Development Officer, helped build Phase 3 Properties and drove leasing at BioMed before that.

Yet recent months have tested IQHQ's financial firepower. Few of its projects secured meaningful pre-leasing, and as deliveries stack up, the carrying costs alone likely run north of \$10M per month. That capital intensity explains the firm's unrelenting fundraising. An estimated \$4B in total and roughly \$900M across multiple tranches in 2024 alone. More recently in an unusual twist, IQHQ tapped Innovative Industrial Properties (IIP) — a cannabis REIT — for a financing facility [20]. Why would a cannabis REIT pivot to life sciences?



IQHQ: Research and Development District (RaDD)

While surely not the only reason, it certainly helped that IIPR's chairman - Alan Gold - is reportedly the largest individual shareholder of IQHQ. The deal has IQHQ selling 15% cumulative redeemable preferred (Series G) to IIPR (up to \$170M) and adding IIPR as a \$100M lender to the amended revolver. Together, IIPR expects a >14% weighted-average return across the preferred and the revolver. To get the deal done IQHQ had to pledge their equity interest in Fenway Center and offer a ROFO and warrants. The overall look - raising capital from a cannabis REIT, pledging collateral, offering ROFO's and warrants - does not inspire confidence that liquidity is abundant.

Meanwhile, early IQHQ equity backers - who are junior to IIPR in the new capital stack - have been marking down their investments. Ontario Teachers' Pension Plan (Cadillac Fairview) invested \$1.2B at inception but no longer lists IQHQ as a significant investment over \$250M implying either an exit or a write-down of at least 80% [21]. Aimco booked a \$47M impairment against its \$50M stake in 2024 [22]. T. Rowe Price's Small Cap Value Fund has steadily cut its carrying value: in 2020, it reported 1.1M shares worth ~\$18.36M (\$16.61/share). In its latest 2025 filing, that position had fallen to 866,287 shares worth ~\$4.26M (\$4.92/share) — a 70% decline in per-share value and a 77% drop in total position value [23]. Beyond those marks, Jordan Ruddy and Adam Lotterman, managers of Bluerock Total Income+ Real Estate Fund have disclosed a \$623M position in IQHQ, making it the fund's largest individual position, with steady and ongoing support back to 2020. While they have marked down their original position on a per-share basis by 65%, that has been dwarfed by their increasing bet on IQHQ via Series E preferred and warrants [24].

And yet, IQHQ has not abandoned RaDD. The company has injected incremental equity into the project and continues to service its loan. The bank also points to significant support from the mezzanine lender. The identity of that lender is not available from county records or state UCC filings. Bank OZK has frequently cooperated with Invesco on San Diego life science deals (see Aperture Del Mar). We would expect a similarly seasoned lender sitting in between IQHQ and Bank OZK on RaDD. For OZK, that ongoing sponsor and mezz support is crucial: it means that, while the headlines focus on the commitment size, the actual funded exposure remains performing and covered — for now.

The RaDD story is therefore less about immediate credit loss than about timing and carry risk. Each month without major leasing pushes funded balances closer to as-market value. For Bank OZK, RaDD has already become the most visible test case of George Gleason's RESG playbook: leaning on sponsor support, carrying unleased assets through downcycles, and betting that time and structure bridge the gap between today's valuations and tomorrow's recoveries.



Gemdale: Aperture

Aperture

San Diego, CA

Aperture Del Mar is a six-building, 780,000+ sq ft life sciences campus in Del Mar Heights, San Diego, developed by Gemdale USA. In Q4 2022, Invesco Real Estate arranged a \$575M construction loan, with Bank OZK taking the \$475M senior tranche and Invesco retaining a \$100M mezzanine position. That \$475M exposure represents OZK's full commitment to the project.

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Owners & DevelopersProperty Search

Aperture Del MarSan Diego, CA

PropertyRisk GradeValuation

Lincoln

Lincoln Property Company

Owner: Gemdale USA

Market Value

Pending

LTV

Pending

Occupancy ⓘ

73.2%

Mortgage Type

Development

Category

Life Science

Mortgage Released

View Mortgage History

Release Date

Pending

Risk Grade ⓘ

4 - Pass - Monitor

Screenshot of Aperture's profile on Atrium



Market Dynamics and Competitive Set

Del Mar Heights is a well-regarded but secondary San Diego life science node compared with Torrey Pines or UTC. In the past three years, San Diego's lab stock has ballooned with more than 6 million sq ft of new deliveries, pushing vacancy into the mid-20% range. While rents for best-in-class lab space nominally remain \$70–75/sq ft NNN, effective rates have slipped once \$200+/sq ft TI packages and 12 months of free rent are accounted for. The glut of new space in submarkets such as Torrey Pines and Sorrento has made it more difficult for non-core nodes like Del Mar Heights to win early tenants, despite strong architectural quality and institutional sponsors.

Leasing Status

In February 2022, Neurocrine entered into a lease with Aperture for approximately 535,000 square feet of office, lab, and ancillary space on a 15.7-acre campus at 6040 Edgewood Bend Court in San Diego, CA [25]. The project was delivered in two phases: Phase 1 (~240,000 sq ft) with an expected commencement in March 2023, and Phase 2 (~295,000 sq ft) with an expected commencement in February 2025. The lease runs for 13 years and 7 months, with two five-year extension options, and includes 10 months of rent abatement for each phase. Base rent begins at \$6.00 per sq ft per month (~\$1.4M/month for Phase 1), escalating 3% annually. Neurocrine also has the option to expand into a future fifth building (~121,000 sq ft) and holds a right of first refusal to purchase the property. The site will serve as the company's future principal executive offices and R&D laboratories.

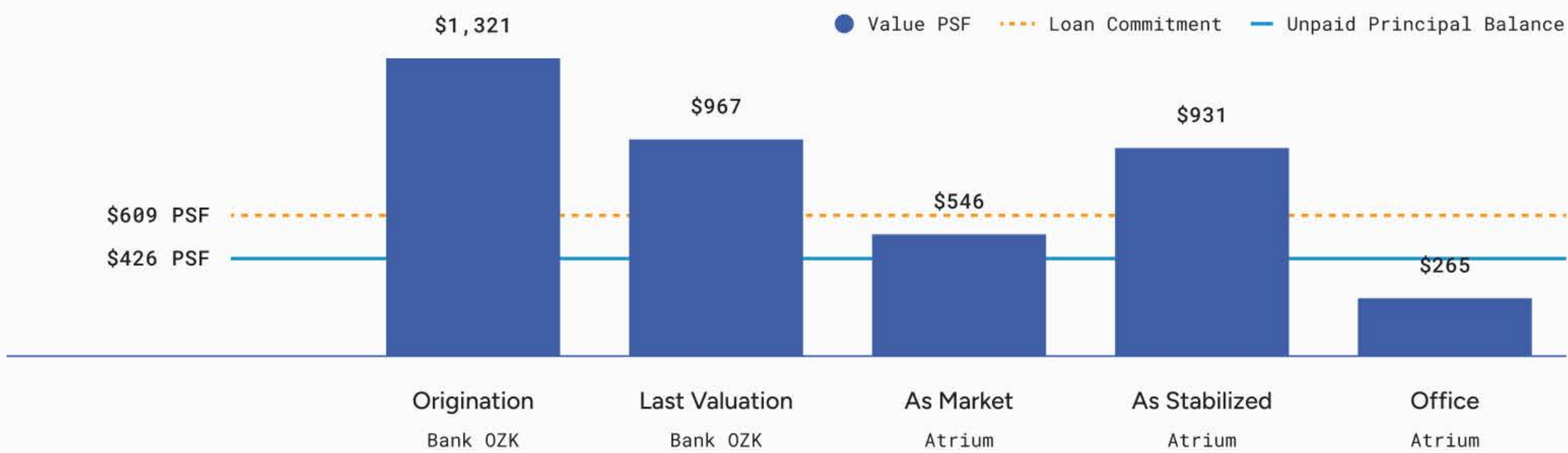
Since then, there has been no public confirmation of additional tenants. While owner and broker marketing materials continue to showcase availability, industry chatter suggests absorption has been limited beyond the Neurocrine commitment. As a result, we model the project as effectively ~70% pre-leased by square footage, but tenant concentration is very high, with the balance of the campus largely uncommitted.



Atrium Signals Valuation Analysis

Our appraisal framework for Aperture Del Mar tracks the project from origination through the most recent bank update, supplemented with our desktop appraisal views.

- As Stabilized Value at Origination:** Upon financing in October 2022, Bank OZK reported an as-stabilized valuation of \$1.03B. That figure implied underwriting consistent with Del Mar Heights’ premium positioning in the San Diego life science market. Back-solving the inputs suggests appraisers assumed ~\$72/SF NNN rents, ~95% stabilized occupancy, and a sub-5.00% cap rate, producing a modeled stabilized NOI of roughly \$51M. These were peak-cycle assumptions, reflecting a moment when Del Mar commanded the highest rents in the region and capital still priced trophy life science at ultra-tight yields.
- As Stabilized Value at Q1 2025:** By the March 2025 quarter, OZK’s own update revised that stabilized valuation down to \$754M — a 27% haircut from origination. To reconcile that figure, one can infer that appraisers marked rents back into the low-\$70s NNN, trimmed stabilized occupancy, and widened the exit cap rate into the 6.25–6.5% range. The revision mirrors broader market shifts across San Diego: higher vacancy, heavier concession packages, and greater risk premia even in coastal submarkets.



Input

Market Rents	\$72.00	\$72.00	\$72.00	\$72.00	\$50.00
Market Occupancy	95%	90%	70%	90%	70%
Cap Rate	5.00%	6.50%	7.00%	6.50%	7.00%
SOFR	3.04%	4.33%	4.27%	3.15%	4.27%

Output

LTV	46%	63%	104%	65%	230%
Debt Yield	10.9%	10.3%	6.7%	9.9%	3.0%
DSCR	1.45x	1.17x	0.77x	1.30x	0.35x
Value PSF	\$1,321	\$967	\$585	\$931	\$265



- **As Market Value (Atrium):** On an as-market basis, Aperture benefits from the anchor lease to Neurocrine Biosciences, which partially offsets the drag from vacant space. Still, lease-up risk dominates. Incorporating TI allowances of ~\$200/sq ft and twelve months of free rent, we estimate an as-market valuation of ~\$456.4M. That coverage leaves the funded senior loan (we estimate ~\$475M advanced) at 104% LTV, excluding mezzanine exposure.
- **As Stabilized Value (Atrium):** Looking forward, assuming Aperture stabilizes at 90% occupancy, with \$72/sq ft effective rents and a 6.50% cap rate, we project a stabilized valuation of ~\$672M. On those inputs, the senior loan balances to 65% LTV, again excluding mezzanine capital.
- **Risk Grade 4 - Pass – Monitor:** Today, Aperture represents a partially de-risked credit relative to the downtown San Diego story. The Neurocrine lease validates the project and provides meaningful in-place cash flow, while sponsorship is institutional and well capitalized. That said, tenant concentration risk and the ongoing challenge of backfilling remaining space in a slow absorption environment keep the loan in the “higher-risk pass” bucket rather than true low risk.

Implications for Bank OZK

Unlike other assets in this report, Aperture benefits from a large, creditworthy anchor in Neurocrine—albeit at the cost of tenant concentration risk. On a funded and committed basis, the \$475M exposure sits comfortably inside both as-market and as-stabilized valuations. The project’s success now depends on backfilling the remainder of the campus in a highly competitive San Diego leasing environment. For OZK, this loan illustrates the nuance: while headlines flagged “large life science exposure,” the risk profile here is much more balanced than in markets like downtown San Diego or Somerville, MA.



San Diego, CA

— Screenshot of Pacific Center's profile on Atrium



Market Dynamics and Competitive Set

Sorrento Mesa is one of San Diego's three core life science anchors alongside Torrey Pines and UTC. As of Q1 2025, Sorrento Mesa totals ~7.59 msf of inventory with ~38.9% overall vacancy and ~35% direct availability [26]. Q1 2025 alone delivered ~852,540 sq ft in Sorrento Mesa (including Pacific Center ~486,740 sq ft and BioScience properties' [27] Headquarters Point ~244,500 sq ft. ARE's Building C at SD Tech 253,079 sq ft is expected before year-end, weighing on near-term vacancy.

For reference, Headquarters Point is a 25% pre-leased two-building, ~244,500 sq ft Class A life science campus financed by a \$181.6M senior construction loan from Wells Fargo, alongside a \$50M preferred equity investment originated by Healthpeak Properties in February 2025 [28, 29, 30]. That combined capital sits at roughly 70% loan-to-cost. Healthpeak's involvement highlights how large lab projects in Sorrento Mesa are increasingly requiring preferred equity infusions from institutional REITs like Healthpeak to stabilize capital stacks.

Building C at SD Tech by Alexandria is a new ~253,000 sq ft Class A+ R&D building within ARE's expanding Sorrento Mesa mega-campus. It is targeting initial delivery in 2025 and is already 70% pre-leased—anchored by a 10-year lease (127,382 RSF) from a top-20 pharmaceutical company, plus an additional ~20,000 sq ft to Shionogi for antimicrobial and infectious disease research.

Competition is intense and extends well beyond HQ Point and ARE's Sorrento Mesa mega campus: ARE just landed the largest lease in its history lining up Novartis for its as-yet unbuilt Campus Point Project. The 16 year lease commences in Fall of 2028, with 2029 the first full year at \$85/ft, with 3% increases thereafter for a total deal size of nearly \$800M (ending in 2044 where the PSF will be over \$130/sq ft) [31].

Asking rents for new construction down in Sorrento Mesa nominally hold in the \$70/sq ft NNN range, but effective rents are materially lower once concessions are factored. Tenant improvement allowances exceeding \$175–200/sq ft and free rent stretching to 9–12 months are now commonplace, underscoring just how far landlords have had to move to attract commitments.

Leasing Status

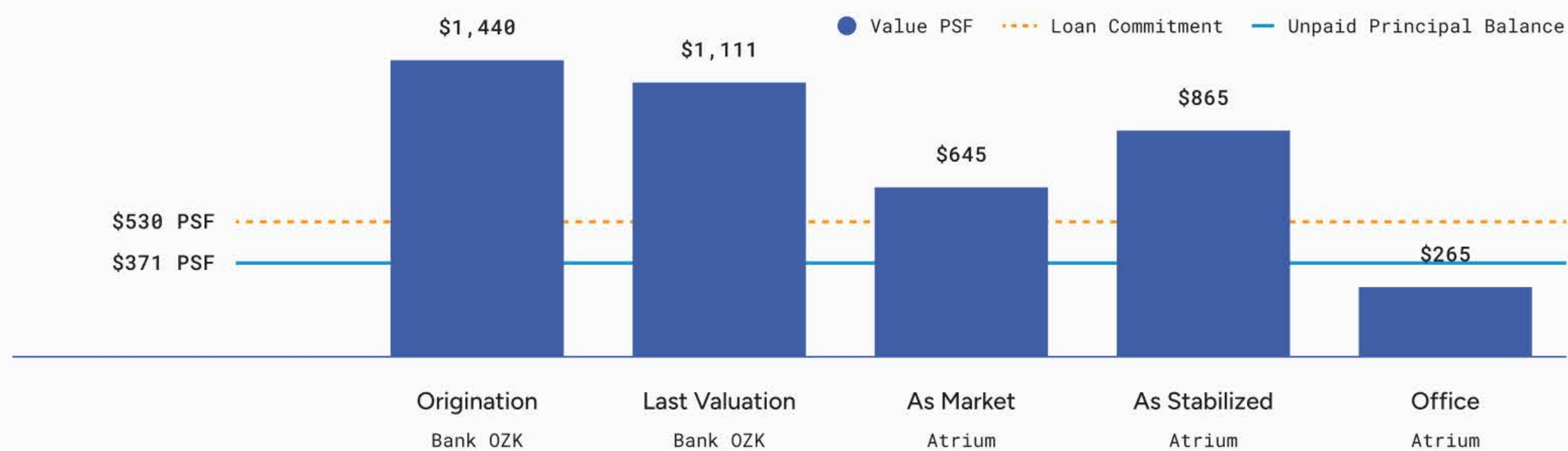
As of mid-2025, Pacific Center Phase I remains largely unleased. Broker listings on CommercialSearch/LoopNet show substantial, contiguous blocks of space (multiple ~37,700 sq ft suites) across both lab buildings available for "immediate occupancy." There have been no public lease announcements or tenant commits. Sorrento Mesa absorption has eased compared to earlier phases of the cycle, but the sheer volume of delivery—including 500,000 sq ft from Pacific Center alone — continues to weigh on momentum.



Atrium Signals Valuation Analysis

Our appraisal framework for Pacific Center tracks the project from origination through the most recent appraisal update, alongside our desktop as-market and stabilized views.

- As Stabilized Value at Origination:** When Bank OZK financed Pacific Center in May 2023, the as-stabilized valuation was reported at approximately \$720M. That appraisal reflected peak-cycle underwriting for Sorrento Mesa: pro forma rents in the high-\$60s NNN, ~95% stabilized occupancy, and a cap rate assumption in the mid-5% range. On those inputs, the implied NOI exceeded \$30M, consistent with expectations that San Diego’s lab market would continue to absorb speculative deliveries at premium pricing.
- As Stabilized Value at Q2 2025:** By mid-2025, OZK’s own re-appraisal had reduced the as-stabilized value to \$556M — a decline of more than 23%. However, rents had risen during that period. Modeling rents closer to \$75 and back-solving from this mark suggests occupancy trimmed closer to 90%, and the cap rate widened to ~6.25%. The revision aligns with the Sorrento Mesa leasing environment in 2024–25, when overlapping deliveries from Longfellow, Alexandria, and others pushed vacancy into the high-30.



Input					
Market Rents	\$67.50	\$75.00	\$72.00	\$72.00	\$50.00
Market Occupancy	95%	90%	70%	90%	70%
Cap Rate	5.50%	6.25%	7.00%	7.00%	7.00%
SOFR	5.02%	4.32%	4.27%	3.15%	4.27%
Output					
LTV	47%	51%	82%	61%	200%
Debt Yield	11.8%	12.3%	8.5%	11.4%	3.5%
DSCR	1.23x	1.40x	0.97x	1.49x	0.40x
Value PSF	\$1,440	\$1,111	\$645	\$865	\$265



- **As Market Value (Atrium):** At delivery in Q1 2025, Pacific Center's ~500,000 RSF campus was effectively 0% leased, despite being marketed aggressively as Sorrento Mesa's newest large-block availability. Using \$72/sq ft asking rents, 12 months free rent, \$200/sq ft TI, and a 7.0% cap rate hurdle, we estimate an as-market market value of ~\$323M. The new 82% LTV means current value provides a substantially smaller equity cushion once full leasing costs, commissions, and absorption shortfalls are accounted for.
- **As Stabilized Value (Atrium):** Looking forward, assuming the campus achieves ~90% occupancy at prevailing rents and stabilizes over 5–6 years, the property could support a valuation of ~\$432M at a 7% cap rate. This scenario presumes tenant demand returns to Sorrento Mesa, effective rents hold above \$70 NNN, and no significant obsolescence discount is applied.
- **As Office (Atrium):** Pacific Center is not a great candidate for an office conversion. With conservative estimates of \$50/ft, 70% market occupancy and a 7% cap rate the business plan completely fails, with building value sitting at \$132M and LTV ballooning to 200%.
- **Risk Grade 5 - Criticized - Special Mention:** Pacific Center today represents one of the most stressed credits in the OZK life science pool. Given delivery at 0% occupancy, effective as-market LTV of ~82% before TI/LC and carry, and a market backdrop of mid-to-high-30s vacancy with overlapping competitive deliveries, this credit exhibits a well-defined weakness that makes repayment dependent on speculative lease-up and additional capital. Until absorption momentum returns, the loan sits squarely in the "special mention" category — dependent on significant leasing traction over the next 24–36 months to migrate from breakeven coverage to a sustainable long-term profile.

Implications for Bank OZK

Pacific Center Phase I is structured as a single-campus loan (\$265M) with no tenant income at delivery. On an as-market basis, our valuation of ~\$322M places the project uncomfortably close to the loan commitment. The stabilized picture is more forgiving: if the campus achieves ~90% occupancy at prevailing rents, a ~\$432M valuation implies a commitment LTV in the low-60s. That spread highlights the binary nature of this credit. Success depends entirely on whether absorption materializes in Sorrento Mesa, where ~850,000 sq ft of new space has just come online and overall vacancy has surged near 40%.

On the sponsor front, Bank OZK has deep familiarity with Sterling Bay—not only through the beleaguered Lincoln Yards land deal in Chicago, but also via successful collaborations on marquee projects such as 360 North Green—the future Midwest HQ for Boston Consulting Group — and Millie at 300 North Michigan, a 47-story mixed-use



Sterling Bay / Harrison Street: Pacific Center

tower just south of the Magnificent Mile. The sponsor bench also includes Harrison Street (a co-sponsor at 1229 W. Concord), a well-capitalized, reputable manager with \$20B+ in AUM and a 75% majority stake held by Colliers, further reinforcing sponsorship strength.

For Bank OZK, Pacific Center exemplifies the structural tension in its life science lending: reserves, sponsor equity (Sterling Bay/Harrison Street), and strong physical product provide theoretical downside protection — but until tenants sign, the bank is effectively lending against construction cost. In that sense, Pacific Center is not a “smaller, ancillary” exposure but a real-time stress test of OZK’s model: can its reserve structure and reliance on institutional sponsors carry a fully vacant, half-million-square-foot campus through the trough of the cycle?



Longfellow: Bioterra

Bioterra

San Diego, CA

Biотerra is a ~316,000 RSF Class A life science building developed by Longfellow Real Estate Partners, delivered in early-to-mid 2024 as a ground-up, purpose-built asset. It features large floorplates (~70k sq ft), rooftop conference and fitness amenities, and San Diego's first all-electric HVAC lab design [32]. Bank OZK provided \$165M in senior construction financing; using our standard 70% funded haircut, the estimated unpaid balance is ~\$115.5M.

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Bioterra

San Diego, CA

[Property](#)
[Risk Grade](#)
[Valuation](#)

Longfellow Real Estate Partners

Owner: San Diego Oberlin LLC

Market Value

\$297,458,085

LTV

55.5%

Occupancy

63.5%

Mortgage Type

CRE

Category

Life Science

Bank OZK

+ 1 Previous Lenders

Commitment

\$165,000,000

Originated

Nov 16, 2022

Maturity

Pending

Risk Grade

5 - Criticized - Special Mention

Screenshot of Bioterra's profile on Atrium



Market Dynamics and Competitive Set

Pacific Center Phase I, also financed by Bank OZK is just a block away, added ~500,000 sq ft in Q1 2025, directly competing with Bioterra for tenants. This unusual dynamic—OZK financing two major projects within a half-mile—illustrates the concentrated nature of the bank's life science risk in this submarket. It also means that Bioterra faces the same headwinds mentioned above.

Leasing Status

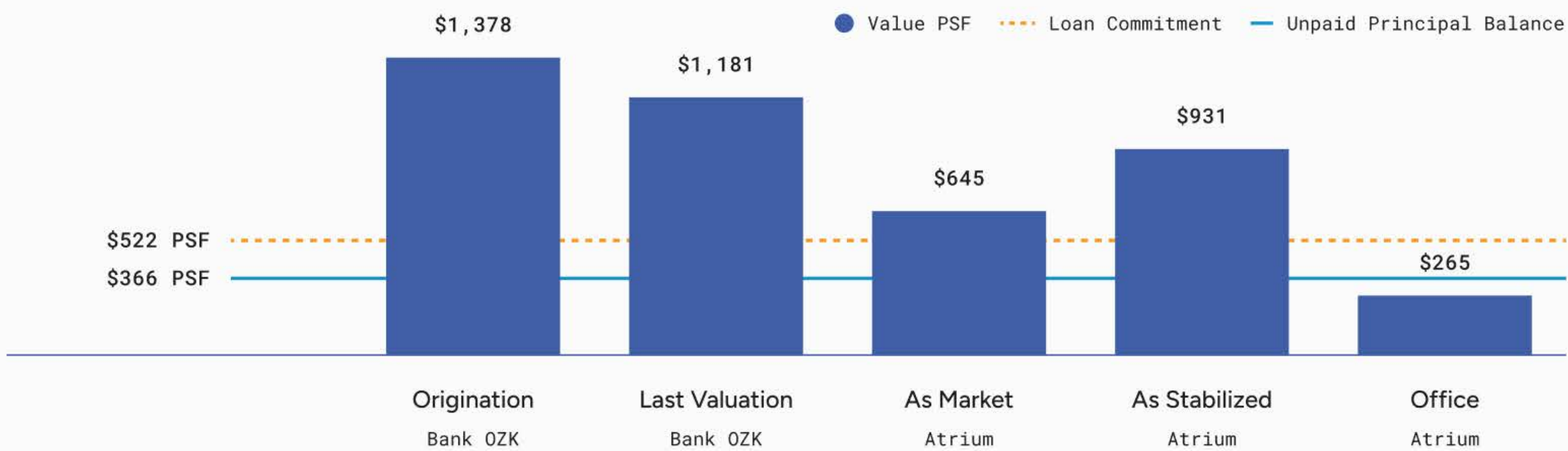
Bioterra appears effectively 0% leased as of August 2025. JLL is actively marketing full/divisible floors (~50k–68K sq ft blocks) with no tenant roster disclosed, and recent listings describe spec suites “delivering”—all consistent with a building in initial lease-up rather than one with signed anchors. The sponsor's site also presents Bioterra as available space with no announced tenants.

Atrium Signals Valuation Analysis

- **As Stabilized Value at Origination:** When Bank OZK financed Bioterra, the as-stabilized valuation was reported at approximately \$435M. That appraisal reflected late-cycle underwriting for San Diego life science: pro forma rents around \$72.50 NNN, roughly 95% stabilized occupancy, and a 5.0% cap rate. On those inputs, the implied stabilized NOI was over \$20M, consistent with expectations that new, large-format space would clear at premium pricing.
- **As Stabilized Value at Q2 2025:** By Q2 2025, the bank's reappraisal reduced the as-stabilized value to roughly \$373M—a decline of about 14% from origination. While modeled rents increased to around \$80 NNN, our back-solve implies stabilized occupancy eased to ~90% and the cap rate widened to ~6.0%. The revision aligns with a more tenant-friendly San Diego backdrop in 2024–25, where elevated vacancy, slower absorption, and deeper concessions have pushed investors to underwrite higher exit yields despite firmer face rents.
- **As Market Value (Atrium):** At delivery in Q2 2024, Bioterra (5889 Oberlin Dr.)—a ~320,000 RSF purpose-built lab campus—was effectively 0% leased and is being marketed in ~50k–68k sq ft blocks. Using our underwriting assumptions of \$72/sq ft starting rent, 30% occupancy, and a 7% cap rate hurdle, we estimate an as-market market value of ~\$203M, well below the \$373M from the bank's recent appraisal. Just like Pacific Center which shares market rent and occupancy inputs, this loan is pushing above 80% in our as-market model.



- **As Stabilized Value (Atrium):** Assuming the building achieves ~90% occupancy at \$72/sq ft NNN and stabilizes over 5–6 years, Bioterra supports a stabilized value of ~\$294M at a 6.5% cap rate.
- **As Office (Atrium):** Bioterra also fails the “office” test, with the same inputs as Pacific Center - with rents at \$50/ft, 70% market occupancy and a 7% cap rate, today’s “office” value is well under the unpaid balance of the loan.
- **Risk Grade 5 - Criticized - Special Mention** is appropriate today. OZK is covered at stabilization on our numbers, but at delivery the asset is vacant and as-market coverage is thin. Execution risk is elevated—TI and carry will increase funded exposure until leases convert—and the backdrop remains soft.



Input

Market Rents	\$72.50	\$80.00	\$72.00	\$72.00	\$50.00
Market Occupancy	95%	90%	70%	90%	70%
Cap Rate	5.00%	6.00%	7.00%	6.50%	7.00%
SOFR	3.72%	4.33%	4.27%	3.15%	4.27%

Output

LTV	39%	45%	81%	56%	197%
Debt Yield	12.8%	13.4%	8.7%	11.6%	3.5%
DSCR	1.56x	1.51x	0.99x	1.52x	0.40x
Value PSF	\$1,378	\$1,181	\$645	\$931	\$265



Implications for Bank OZK

Bioterra puts OZK across the table from Longfellow Real Estate Partners, a specialist operator with real lab engineering chops, deep brokerage relationships, and a national life science footprint. That operating depth is an asset in a slow market—Longfellow knows how to deliver spec labs that actually lease and can shorten time-to-occupancy—but their single-sector exposure and portfolio leverage heighten cyclical risk. The ask from OZK is straightforward: keep the sponsor's will and wallet engaged through the first anchors. With our as-market model screening thin coverage (>80% LTV once TI/LC and carry are fully loaded), the credit is less about headline commitment and more about Longfellow's willingness to front-foot concessions and TIs to win durable tenants.

There is also a micro-market dynamic OZK uniquely owns: Pacific Center (Sterling Bay/Harrison Street) sits a short walk away, creating two large, vacant, OZK-financed assets competing for the same Sorrento Mesa demand. That cuts both ways. It raises cannibalization risk if each sponsor chases the same 50–100k sq ft requirements with undisciplined net-effective pricing—but it also means one visible anchor can reset comps and momentum for both. The practical play is differentiation: tilt Bioterra toward divisible mid-size plates with turnkey spec suites and faster delivery, while Pacific Center positions for larger, multi-floor users. OZK should monitor cross-asset pricing to avoid a race-to-the-bottom, but the remedy here is execution, not conversion—our desktop office cases almost never pencil once gross rents, shorter terms, and conversion capex are charged.

Structure is OZK's lever to keep the plan on rails. Require hard TI/LC and carry escrows sized to the first 30–40% of the rent roll with milestone disbursements tied to executed leases and commencement tests; spring cash management if free-rent elongates or TI burn outpaces budget; and tighten leasing KPIs (pipeline by stage, realized net-effective rents vs. ask, TI per foot, free-rent months) to validate that pricing is clearing the market, not just touring. Where Longfellow asks for incremental flexibility, trade it for re-margin if funded LTV drifts higher as TI dollars go out. Given that office fallback destroys senior coverage here, the value-maximizing path is carry → lease → recap/sale to a core buyer once NOI seasons.

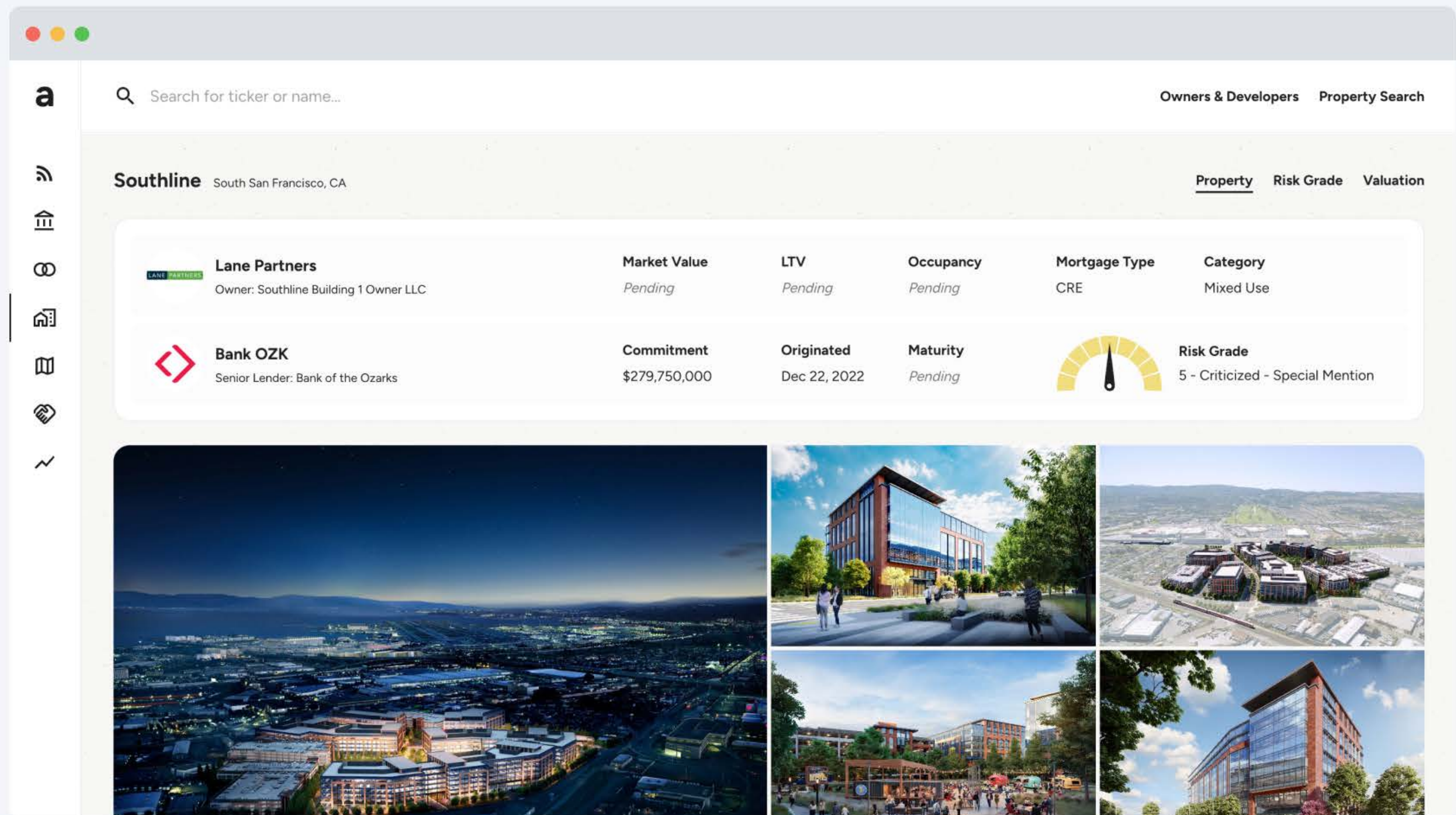
On today's facts, Risk Grade 5 (Special Mention) is appropriate: vacant delivery, thin as-market coverage, and elevated execution risk in a soft Sorrento Mesa. An upgrade comes into view with a creditworthy anchor (≥100–150K sq ft) funded within escrow, demonstrated traction on the next blocks, and confirmed net-effective economics within model. A downgrade case would be 12–18 months without a major lease, further deterioration in net-effective rents or TI intensity, or funded LTV migrating meaningfully higher without offsetting absorption. With Longfellow's operating platform and disciplined structure, the base case remains time and TI dollars—not conversion—to keep OZK's senior money covered through lease-up.



Southline

South San Francisco, CA

Southline is a 2.8 million sq ft, multi-phase life sciences campus being developed in South San Francisco, one of the most competitive biotech clusters in the world. The project is sponsored by a joint venture of Goldman Sachs Asset Management (Real Estate), Lane Partners, and Beacon Capital Partners. Lane assembled the site; Goldman Sachs joined early to recapitalize and accelerate vertical development; Beacon Capital came in during 2023 as a co-sponsor with deep life science experience. Bank OZK provided \$280M of senior construction financing (12/22/2022) on Phase I; assuming ~70% funded, the current exposure is ~\$196M. Phase I comprises two buildings totaling >715K sq ft plus an amenity building and structured parking (Building 1: ~372–375k sq ft @ 20 Southline Ave; Building 7: ~345k sq ft @ 30 Southline Ave). Square Mile Capital took a roughly \$100M junior piece.



Screenshot of Southline's profile on Atrium



Market Dynamics and Competitive Set

South San Francisco is the epicenter of U.S. life sciences on the west coast, with more than 15 million sq ft of inventory and 6+ million sq ft delivered in the past three years. Vacancy has risen to ~27–30%, up from under 5% pre-pandemic, as mega-projects like Gateway of Pacific (BioMed) and Genesis Marina (Phase 3 Properties) delivered simultaneously [33]. Effective rents nominally remain in the \$75–85/sq ft NNN range, but with heavy concessions (>\$200/sq ft TIs, 12 months free rent) [34].

Leasing Status

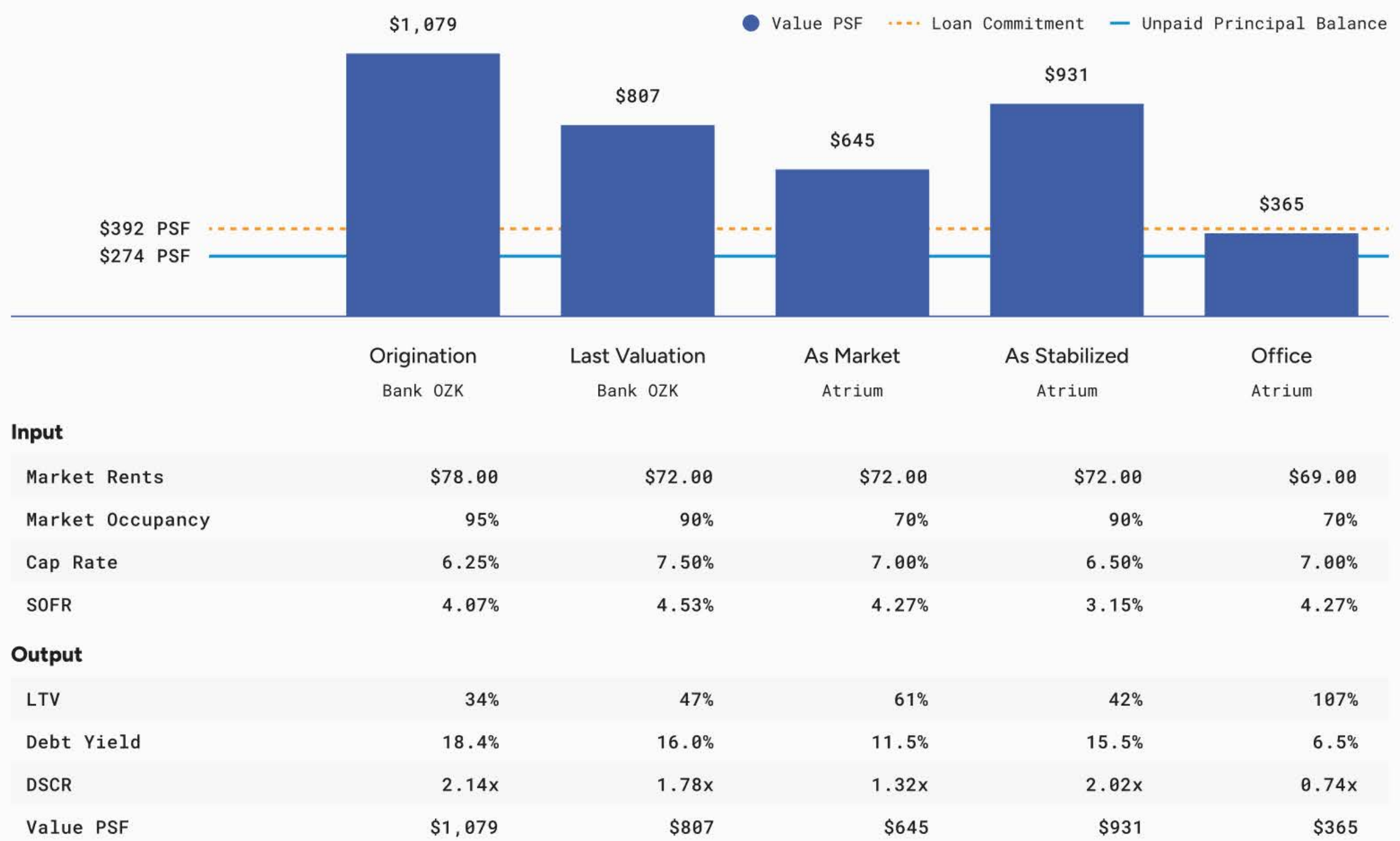
As of today, no publicly confirmed tenant leases are posted for Phase I. Broker listings show 20 Southline (Bldg 1, ~372–375K sq ft) as “All Available Spaces” across six floors, and 30 Southline (Bldg 7, ~345K sq ft) as future availability—consistent with lease-up at/near 0% currently. The owner site is “now leasing” without a tenant roster.

Atrium Signals Valuation Analysis

- **As Stabilized Value at Origination:** When Bank OZK financed Southline, the as-stabilized valuation was reported at approximately \$771M. That appraisal reflected late-cycle underwriting for the Peninsula/South San Francisco life science market: pro forma rents around \$80 NNN, roughly 95% stabilized occupancy, and a 6.25% cap rate. On those inputs, the implied stabilized NOI was about \$48.2M, consistent with expectations that new-build inventory would clear at premium pricing.
- **As Stabilized Value at Q4 2024:** By Q4 2024, the bank’s reappraisal reduced the as-stabilized value to roughly \$577M—a decline of about 25% from origination. Our back-solve assumes face rents moderated to around \$72 NNN, stabilized occupancy eased to ~90%, and the cap rate widened to ~7.5%, implying an NOI near \$44.8M. The revision tracks the Bay Area’s 2023–24 reset—slower absorption, elevated availability, and higher discount rates—pushing investors to underwrite lower occupancy and higher yields despite resilient (but more concession-laden) asking rents.
- **As Market Value (Atrium):** With Phase I effectively unleased, we value on a lease-up basis using \$72/sq ft NNN starting rent, 70% occupancy, and a 7% cap rate hurdle. This indicates an as-market value ~\$461M reflecting carry, LC/TI, and absorption drag. This pins LTV at 61% as committed. Square Mile is in a more precarious position in our as-market analysis.



- **As Stabilized Value (Atrium):** At ~90% occupancy and \$72 NNN, applying a 6.5% cap, Phase I supports ~\$665M stabilized value. If successful as a life science project Southline actually outperform the most recent OZK appraisal. This could end up as one of the better performers in the bunch if lease-up gets on track.
- **As Office (Atrium):** With office market rents at \$69/ft gross in South San Francisco, this property has a relatively small delta between life science and office rents. But the pure office model fails - greater than 100% LTV - on the basis of local office occupancy at 70% and cap rates at 7%. That said, given how much room the as-stabilized value has as a life science project, Southline could go split life science and office and thread the needle.
- **Risk Grade 5 - Criticized - Special Mention** is appropriate today. Southline Phase I is at the start of lease-up in a softening market; TI and carry will increase funded exposure until major leases land. The sponsor bench and capital stack (GSAM/Lane/Beacon/Square Mile) and transit-adjacent location are strong offsets, as is the potential for a part-office pivot to increase absorption, but near-term execution risk is still elevated.





Implications for Bank OZK

Southline gives OZK an unusually capable sponsor bench for a difficult leasing window. Goldman Sachs Asset Management brings the balance sheet and patience to preserve option value; Beacon Capital contributes lab-specific operating muscle—spec planning, engineering, and big-pharma relationships—while Lane Partners supplies the local execution to tune product and pricing in real time. Junior capital from Square Mile sits behind the senior and is incented to fund cures that buy time. In short, this is a stack with both the will and the wallet to carry, fund TI/LCs, and convert tours into anchors in the submarket where most West Coast requirements ultimately land.

That alignment matters because South San Francisco remains the peninsula's center of gravity: when demand returns, it tends to return here first. OZK also has practical rapport with Beacon elsewhere in the book, which lowers coordination friction if the plan needs phasing or a recap. Given those dynamics, the most probable path is time and capital—funding first-generation lab improvements to land a credit anchor—rather than a premature sale into a buyer's market. Any talk of wholesale office pivot should stay tactical; our desktop conversions consistently underwrite to lower values once gross rents, shorter terms, and conversion capex are loaded.

Structure is OZK's lever to keep that "time and capital" plan from drifting. The bank should hold hard TI/LC and carry escrows sized to the first 35–40% of the rent roll, release against leasing milestones and commencement tests, spring cash management if free-rent periods elongate or TI burn runs hot, and lock intercreditor mechanics with Square Mile so timing control is clear if milestones slip. Tight monthly reporting—pipeline by stage, realized net-effective rents vs. ask, TI per foot, and free-rent months—will validate pricing discipline as concessions settle.

On the numbers, Southline sits at ~61% as-market LTV on a commitment view and improves into the low-40s on funded, which supports a Risk Grade 4 (Pass–Monitor) today. An early, creditworthy anchor of 150k sq ft or more—funded within escrow, with visible momentum on the sister building—would push the case toward an upgrade; 12–18 months without a major lease, worsening net-effective pricing, or TI/carry draws that lift funded LTV into the mid-60s would argue the other way. The base case remains carry → lease → recap or sale to a life science core buyer once NOI seasons—because in this location, with this sponsor stack, the lab-first thesis still dominates the outcomes that keep OZK's senior money covered.



Somerville, MA

808 Windsor Street is a 370,000 sq ft, 11-story, purpose-built life sciences building situated in Boynton Yards, the mixed-use innovation district just north of Kendall Square in Somerville, MA. Delivered in late 2024 as the second lab tower in the Boynton Yards master plan, 808 Windsor was developed by a joint venture led by Leggat McCall Properties, DLJ Real Estate Capital Partners, and Deutsche Finance America (DFA). Bank OZK provided the \$246M senior construction loan for this project via a five-year term commitment.

🔍

Owners & Developers Property Search

808 Windsor at Boynton Yards Framingham, MA

[Property](#) [Risk Grade](#) [Valuation](#)

 Leggat McCall Properties Owner: Building 2 Owner LLC	Market Value \$129,945,592	LTV 189.3%	Occupancy <i>Pending</i>	Mortgage Type CRE	Category Life Science
 Bank OZK Senior Lender: Bank OZK	Commitment \$246,000,000	Originated Nov 16, 2021	Maturity <i>Pending</i>	 Risk Grade ⓘ 5 - Criticized - Special Mention	







Screenshot of 808 Windsor at Boynton Yards' profile on Atrium



Market Dynamics and Competitive Set

The Greater Boston-Cambridge life sciences market remains the deepest in the U.S. While vacancy across the cluster remains modest (low single-digits), the Somerville offshoot cluster—including Boynton Yards and Cambridge Crossing—has absorbed a recent wave of deliveries. With substantial lab pipeline in the submarket, vacancy has moved into the mid-20% range, particularly in speculative buildings without existing tenants [35]. 808 Windsor benefits from first-mover status and premium site amenities—transit orientation, LEED Platinum design, and direct adjacency to the Union Square Green Line station—but faces stiff competition from other new deliveries.

Leasing Status

As of the ribbon-cutting in November 2024, there was no public announcement of signed leases beyond initial pre-lease discussions, and the building is being marketed broadly. Its first phase anchor—Flagship’s 101 South Street building (another Bank OZK-financed building)—is fully leased, but 808 Windsor remains largely unspoken-for. Given the absence of confirmed leasing updates, our modeling reflects a conservative assumption of <10% leased, pending verified occupancy disclosures.

Atrium Signals Valuation Analysis

We triangulate value from three lenses: (i) as-stabilized direct cap/DCF using market rents and target occupancy; (ii) as-market via a cap rate framework that explicitly nets concessions (TI/LC and free rent) and lease-up time; and (iii) an office backstop to gauge downside if lab demand underperforms. Given the 2023-25 reset in Boston life sciences, we place heavier weight on the as-market view until an anchor lease is executed.

- **As Stabilized Value at Origination:** When Bank OZK financed 808 Windsor, the as-stabilized valuation was reported at approximately \$578M. That appraisal reflected late-cycle underwriting for the Greater Boston life science cluster: pro forma rents around \$95 NNN, roughly 95% stabilized occupancy, and a 6.0% cap rate. On those inputs, the implied stabilized NOI was above \$30M, consistent with expectations that new, purpose-built space would command premium pricing.
- **As Stabilized Value at Q3 2024:** By Q3 2024, the bank’s reappraisal reduced the as-stabilized value to roughly \$464M — a decline of about 20% from origination. Our back-solve assumes face rents moderated to around \$90 NNN, stabilized occupancy eased to ~90%, and the cap rate widened to ~6.5%, implying an NOI in the high \$29M. The revision aligns with the 2023–24 Boston-area reset — higher availability, longer decision cycles, and deeper concessions — pushing investors to underwrite higher yields despite resilient headline rents.



Input

Market Rents	\$95.00	\$90.00	\$85.00	\$85.00	\$70.00
Market Occupancy	95%	90%	80%	90%	70%
Cap Rate	6.00%	6.50%	7.00%	6.25%	7.00%
SOFR	0.05%	5.15%	4.27%	3.15%	4.27%

Output

LTV	46%	55%	73%	58%	179%
Debt Yield	13.2%	11.8%	9.6%	10.7%	3.9%
DSCR	2.90x	1.22x	1.09x	1.40x	0.44x
Value PSF	\$1,564	\$1,254	\$908	\$1,143	\$371

- As Market Value (Atrium):** Based on \$85/sq ft market rent, \$225/sq ft TI, 12 months free rent, 80% occupancy and a 7.0% cap rate for the 370k sq ft shell and spec suites, we estimate an as-market value of ~\$336M. At 73% the LTV is definitely elevated, but not yet distressed.
- As Stabilized Value (Atrium):** If 90% leased at \$85/sq ft with a 6.25% cap rate, stabilized value approximates \$423M.
- As Office (Atrium):** At 70% market occupancy, and gross rents of \$70/sq ft with a 7% cap rate, stabilized value approximates \$137M, well below the value of Bank OZK's senior loan and thus not a great option for Bank OZK.
- Risk Grade 5 - Criticized - Special Mention** is appropriate. 808 Windsor remains in early lease-up in a market that has reset on concessions and underwriting yields; our as-market ~ \$336M implies ~73% LTV today and meaningful additional TI/LC and carry before stabilization, and the as-stabilized ~ \$423M sits below the \$464M Q3'24 appraisal—evidence of value migration and take-out risk. Offsets include location within the Greater Boston life science cluster, new best-in-class improvements, and depth of tenant demand relative to most U.S. markets. We would reassess to Risk Grade 6 (Substandard – Accrual) if leasing traction remains limited,



Leggat McCall: 808 Windsor at Boynton Yards

exposure rises materially with no offsetting value, or updated valuations put net recoverable below outstanding; conversely, we'd revisit an upgrade to Pass-Monitor (RG4) upon execution of an anchor lease on market terms and clear leasing velocity toward stabilization.

Implications for Bank OZK

Against our \$336M as-market view, the \$246M full commitment leaves only a narrow cushion today; coverage widens meaningfully only if value migrates toward our \$423M as-stabilized case or the bank's \$464M Q3-2024 mark. Until an anchor is signed and commencements start, this behaves like a carry-and-lease facility: commitment-level LTV screens tight versus as-market and acceptable versus as-stabilized, with every dollar for TI/LCs and carry lifting exposure ahead of income.

The hinge is sponsorship. Leggat McCall Properties (LMP) is the local operating spear point with deep Boston lab delivery and day-to-day control at Boynton Yards; they set spec-suite strategy, pricing, and execution pace at 808 Windsor. DLJ Real Estate Capital Partners (DLJ RECP) provides entrepreneurial institutional GP capital and has co-master-planned Boynton since 2019, signaling staying power across phases rather than a single-asset bet. Deutsche Finance America (DFA) is the balance-sheet ballast and global capital conduit, enhancing liquidity and recap flexibility so TI/LC funding does not stall mid-campaign. Together, the trio brings credible delivery, district-level vision, and financing depth—the exact mix needed to convert tours to leases at in-market net effective terms.

Netting these factors, this is a commitment-driven lease-up credit whose outcome turns on sponsor execution—liquidity first, speed second, discipline always. If LMP's on-the-ground engine, DLJ's district commitment, and DFA's capital support align around LC-backed TI escrows, tight cash management, and milestone-tied advances, senior coverage can season into the \$423–\$464M range and restore durable protection. If traction lags or sponsor dollars arrive slowly, advances under the commitment extend the window in which OZK's position prices off as-market rather than as-stabilized value.



Chicago, IL

1229 W. Concord is a 240,000 sq ft Class A life sciences building within Lincoln Yards, Sterling Bay's transformative 53-acre redevelopment along the Chicago River. It represents the first lab-specific asset within the master plan and is intended as the anchor for a new biotech cluster outside the city's traditional Fulton Market and university-adjacent districts. Bank OZK provided the \$125M construction loan for the project, of which \$59.9M of the unfunded commitment has been curtailed and a \$5.1M charge off recognized, resulting in a \$59M outstanding balance according to the 2025 Q3 Bank OZK Management Comments on earnings [57]. As this analysis foresaw, the asset has migrated from special mention to substandard non accrual during the quarter. The loan is past its maturity date — which came and went on Sep 23, 2025 — and Sterling Bay is actively marketing the asset via Eastdil Secured and Savills [36]. To illustrate the narrative and history of the asset, we have maintained the original loan commitment of \$125M in the analysis metrics but updated the unpaid principal balance to reflect the current \$59M loan.

Screenshot of 1229 West Concord's profile on Atrium



Chicago Life Sciences Market Context

Unlike Boston, San Diego, or the Bay Area, Chicago remains an “emerging” life sciences market. Dedicated lab space only totals ~3 million sq ft, and most of it is concentrated in Fulton Market, Illinois Medical District, and suburban nodes like Skokie. By comparison, Boston has 50M+ sq ft.

Over the last three years, Chicago developers have made bold moves to grow the sector. Sterling Bay itself delivered Fulton Labs 400 N. Aberdeen (425,000 sq ft) and 1375 W. Fulton (300,000 sq ft), both marketed as trophy lab assets. Harrison Street and Trammell Crow are pursuing Gateway Allston and other conversions. Yet absorption has lagged expectations:

- 400 N. Aberdeen (delivered 2022) is only about half-leased despite aggressive concession packages.
- 1375 W. Fulton has signed some tenants but remains well below stabilized occupancy.
- Across the metro, vacancy in new lab product is running 40–50%, with significant sublease space available as well [37].

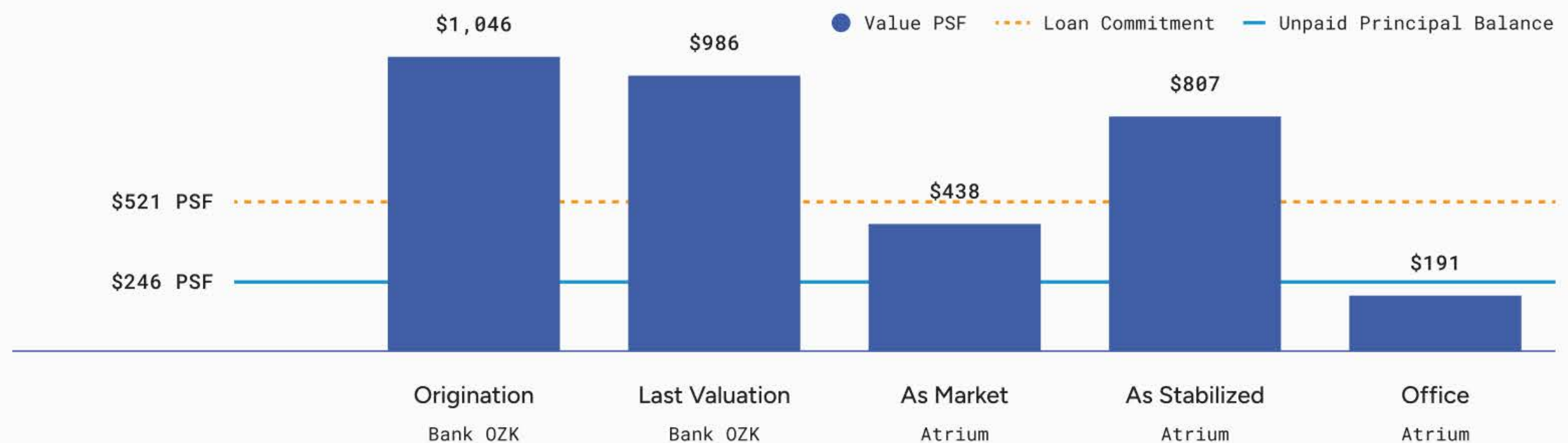
Rents are nominally in the \$60–70/sq ft NNN range for Class A lab, but after concessions (\$150–\$200/sq ft TI, 12–15 months free rent), effective rents are materially lower. Landlords face the dual challenge of attracting biotech growth firms at a time of constrained venture funding and persuading established life sciences tenants to expand outside coastal hubs.

Leasing Status

As of mid-2025, the building remains unleased. Brokerage listings continue to market the full 240,000 sq ft, and no anchor tenant has been announced. This stands in contrast to Sterling Bay’s Fulton Labs projects, which secured early commitments from companies like Portal Innovations and Xeris Pharmaceuticals. Lincoln Yards, while ambitious, is unproven as a life sciences destination, and tenant caution has slowed lease-up. The sale is positioned to life science as well as office investors, and is positioned as a blank slate asset.

Atrium Signals Valuation Analysis

- **As Stabilized Value at Origination:** When Bank OZK financed 1229 W. Concord, the as-stabilized valuation was reported at approximately \$251M. That appraisal reflected late-cycle underwriting for an emerging Chicago life science node: pro forma rents around \$60 NNN, roughly 95% stabilized occupancy, and a 5.5% cap rate. On those inputs, the implied stabilized NOI was about \$13.2M, consistent with expectations for premium, purpose-built space in a developing cluster.



Input

Market Rents	\$60.00	\$65.00	\$60.00	\$60.00	\$30.00
Market Occupancy	95%	90%	60%	90%	80%
Cap Rate	5.50%	6.00%	7.00%	6.25%	7.00%
SOFR	0.05%	5.31%	4.27%	3.15%	4.27%

Output

LTV	52%	55%	119%	65%	273%
Debt Yield	10.6%	10.9%	5.9%	9.7%	2.6%
DSCR	2.34x	1.11x	0.67x	1.27x	0.29x
Value PSF	\$1,046	\$986	\$438	\$807	\$191

- **As Stabilized Value at Q1 2024:** By Q1 2024, the bank's reappraisal reduced the as-stabilized value to roughly \$237M — a decline of about 6% from origination. Our back-solve assumes face rents improved to around \$65 NNN, stabilized occupancy eased to ~90%, and the cap rate widened to ~6.0%, implying an NOI near \$14.2M. The revision reflects a more tenant-favorable environment and higher discount rates, which pressured values despite firmer headline rents.
- **As Market Value (Atrium):** With no income in place, we benchmark against a market occupancy of 60%, \$60 PSF rents and apply a 7.00% cap rate, establishing a value at \$105.2M.
- **As Stabilized Value (Atrium):** Assuming 85% occupancy, \$60/sq ft rents, and a 6.25% cap rate, the building supports an as-stabilized valuation of ~\$193.6M.
- **As Office Value (Atrium):** A potential office fallback for 1229 W. Concord is highly problematic. Chicago's Class A office market remains oversupplied, with downtown and near-downtown submarkets recording vacancy rates north of 25% and concession packages (TI allowances, extended free rent) at historic highs. At Lincoln Yards specifically, the lack of an established office ecosystem makes the marketing proposition even weaker. Using gross office rents of ~\$30/sq ft, a charitable 80% occupancy, and a 7.0% cap rate, our modeled stabilized value is



only ~\$191/sq ft, or ~\$45M total. Even if absorption were possible, lease-up would require outsized concessions, further dragging net effective economics. The “blank slate” marketing now underway—which openly contemplates office users—underscores the gravity of the situation: as a pure office play, this asset fails coverage tests outright, placing OZK in an impaired position.

- **Risk Grade 7 - Classified - Substandard – Non-Accrual:** Given the facts—loan past contractual maturity, 100% vacancy, negative value migration across successive appraisals, and current marketing as an unleased shell—the appropriate classification is Risk Grade 7. The stabilized case (~\$170M, 85% occupancy, \$65 NNN, 7.0% cap) remains materially under prior appraisals, and the office backstop implies a substantial shortfall to basis. Execution risk is now centered on an asset sale - which could potentially be at a discount that crystallizes loss. It is our perspective that the loan should not remain on accrual. A specific reserve is warranted, with expected severity in the 20–30% range on funded dollars depending on sale outcomes.

Implications for Bank OZK

1229 W. Concord has become a litmus test not just for Chicago’s ambitions as a biotech hub, but for Bank OZK’s appetite for cycle-risk in emerging clusters. With the loan past maturity, the building wholly unleased, and brokers now openly marketing it as a “blank slate” asset—including to potential office buyers—the project’s original life science thesis has, for now, stalled. On current marks, our as-office valuation is only ~\$191/sq ft versus a loan basis of ~\$326/sq ft, implying a material shortfall if conversion or sale proceeds become the only paths forward.

For OZK, the gap raises the possibility of a loss and the need for a specific reserve. Unless a firm extension or new equity is secured, this exposure should remain on Substandard -Non accrual; repayment is no longer dependent on normal operations but on a speculative sale or major re-margining. In that sense, the loan underscores both the strengths and the limits of OZK’s sponsor-driven model. Sterling Bay remains a capable counterparty with deep equity relationships, but the Lincoln Yards plan has already shown strain: earlier in 2024, OZK foreclosed on a separate \$128M land loan at the same site. That history demonstrates OZK’s willingness to act decisively when business plans falter—and highlights the binary nature of Concord.

The outcome is now stark. If Chicago’s lab demand deepens, Concord could still stabilize and recover value over time. If not, OZK faces the prospect of a workout where collateral value sits meaningfully below loan basis, and where carrying the asset further only defers recognition of loss. In today’s configuration, the credit looks less like a bridge to stabilization and more like a test of OZK’s discipline in reserving for specific impairment.



San Carlos, CA

Portal 405 is a six-story, ~240,000 RSF purpose-built life science building at 405 Industrial Road in San Carlos, co-developed by Menlo Equities and Beacon Capital Partners. The site was acquired in March 2021 and redeveloped from a self-storage facility into a lab-ready, institutional-quality asset within the emerging San Carlos Innovation District. The design emphasizes large, flexible floor plates, 16' slab-to-slab heights, and robust MEP capacity, with proximity to Caltrain and Highway 101 positioning the property for regional access. Delivery was targeted for late-2024; CBRE and Cushman were engaged to lead marketing and leasing.

— Screenshot of Portal 405's profile on Atrium



Market Dynamics and Competitive Set

San Carlos sits between the entrenched South San Francisco cluster to the north and Stanford/Palo Alto to the south. During the 2020–21 boom, sponsors pitched the Mid-Peninsula as a spillover option when South City was effectively full. By 2024–25, a wave of Peninsula and Bay Area deliveries, plus rising sublease inventory, pushed availability higher; concessions expanded (TI packages commonly \$200+/sq ft with ~12 months free rent), and effective rents slipped even if asking rents still read ~\$70–75/sq ft NNN [38]. Against this reset, Portal 405 competes with new product from Alexandria and other institutional owners along Industrial Road and in Redwood City—most of whom are also contending with slower absorption.

Leasing Status

As of mid-2025, Portal 405 is being marketed as a full-building opportunity, with no publicly announced anchor tenant. The project's timing—delivering into peak availability—has left it effectively vacant, making it a high-visibility test of whether San Carlos can convert tours to executed leases in the current cycle. CBRE/Cushman were retained at groundbreaking to lead leasing; ongoing listings reflect broad availability.

Atrium Signals Valuation Analysis

Our appraisal framework tracks Portal 405 (San Carlos) from origination to current, with parallel desktop views for as-market, as-stabilized, and an office-use sensitivity:

- **As Stabilized Value at Origination:** When Bank OZK originated the \$149M loan, the bank's disclosure pegged as-stabilized value at approximately \$376M. That figure was consistent with late-cycle Peninsula life science underwriting: pro forma base rents around \$90 NNN, ~95% stabilized occupancy, and a 5.5% cap rate. On those inputs, the implied stabilized NOI was roughly \$19.9M.
- **As Stabilized Value at Q2 2025:** By Q2 2025, the bank's reappraisal reduced the as-stabilized value to about \$287M (~-24% vs. origination). Back-solving implies modeled rents near \$87 NNN, stabilized occupancy of ~90%, and a 6.5% cap rate—an income and risk-premium reset consistent with a slower absorption backdrop. The implied NOI is roughly \$18.2M.
- **As Market Value (Atrium):** Our desktop as-market is ~\$148.5M, based on \$69 NNN rents, 70% market occupancy, and a 7.0% cap rate, which capitalizes to an NOI of ~\$10.4M. On a committed basis, the effective as-market LTV is ~100% (\$149M / \$148.5M). On a funded basis (we estimate ~70% drawn, ~\$104M UPB), LTV is ~70%.



- **As Stabilized Value (Atrium):** Assuming rents recover to ~\$72 NNN, ~90% stabilized occupancy, and a 6.5% cap rate, we estimate value at ~\$223M, implying a stabilized NOI of ~\$14.5M.
- **As Office (Atrium):** Under an office use case with \$69 gross rents, 70% occupancy, and a 7.0% cap rate, value compresses to ~\$87M (NOI ~\$6M), indicating conversion would destroy collateral value relative to both commitment and current UPB.
- **Risk Grade 6 - Classified - Substandard - Accrual** is warranted today: The headline concern is that as-market value $\approx$ total loan commitment, meaning every additional advance for TI/LC and carry pushes effective LTV >100% until real leasing shows up. While the bank's as-stabilized mark (\$287M) and our forward case (\$223M) indicate eventual coverage on a committed basis (~52% and ~67% LTV, respectively), repayment remains execution-dependent in a tenant-favored market. Require (i) hard TI/LC and carry escrows sized to first-phase lease-up, (ii) milestone-based funding tied to executed leases, and (iii) evidence of sponsor incremental equity if costs run ahead of plan. well-defined weaknesses (as-market $\approx$ commitment; impending TI/carry) that merit close monitoring, but with a credible path back to coverage if the first 30–40% of the rent roll is secured on market terms. Absent near-term leasing or fresh sponsor support, we would reassess toward Grade 6 (Substandard) and consider restructuring around stricter covenants and additional credit support.





Implications for Bank OZK

Portal 405 is sponsored by a Menlo Equities–led joint venture with Beacon Capital Partners. Menlo acquired the 2.5-acre site at 405 Industrial Road in March 2021, and the team is marketing a ~240,000 sq ft life science building under the Portal 405 brand. Leasing is being handled by CBRE’s Mike and Charlie Moran alongside JLL’s Clarke Funkhouser, giving the project a credible Peninsula life science brokerage bench with established tenant access.

Beacon’s platform depth and its specific relationship history with Bank OZK are directly relevant to the bank’s risk calculus. Beacon joined the Southline San Francisco ownership group via a January 2023 recap alongside Goldman Sachs Asset Management and Lane Partners; construction financing for Southline Phase I includes a senior piece from Bank OZK. Separately, OZK provided ~\$100.2M of construction financing for Beacon’s Steel House in Denver—another BCSP-platform project—which underscores active, multi-market ties between sponsor and lender.

Beacon Capital Strategic Partners 8 (BCSP 8)—the 2018-vintage value-add fund that includes Portal 405—has experienced cycle stress but remains active across major CBDs. Wilderness Labs in Boulder, a BCSP 8 asset, is in default and is one of five office loans Western Alliance disclosed as being in default during its Q2-2025 earnings cycle; though Beacon continues to display the asset on its platform portfolio [39].

Outside BCSP 8, Beacon has faced prominent office-credit events that speak to the broader backdrop rather than a single-fund impairment. In Chicago, the 1.2 million sq ft AMA Plaza at 330 N. Wabash moved from payment default risk in August 2024 to a filed foreclosure complaint by November 2024; coverage also noted a looming refinance/sale process at 303 East Wacker. In Washington, D.C., the \$243M loan on Lafayette Centre transferred to special servicing in June 2024, with servicer commentary citing default risk well ahead of the 2027 maturity. These are headline assets in tier-one markets and illustrate valuation compression, higher cap rates, and slower leasing typical of the 2023–25 office repricing [40, 41, 42, 43].

At the same time, Beacon continues to own, operate, or transact in some of the largest CBD towers and life science projects nationally—including 53 State Street (Boston), One Front Street (San Francisco), and the Southline campuses—signaling ongoing capital access and operating engagement even as it triages legacy loans. Beacon’s public portfolio index highlights that breadth and confirms Portal 405 as an “Active” holding alongside other flagship positions.

Menlo Equities, as the local co-sponsor and development lead, brings a long Silicon Valley track record and balance-sheet flexibility. Menlo’s site page documents the JV with Beacon at 405 Industrial, and the project’s dedicated



Menlo Equities: Portal 405

website and brokerage materials indicate real-time leasing engagement with large blocks on offer—an important practical indicator of near-term execution capacity in a concessions-heavy market. In aggregate, Menlo+Beacon is a recognizable, institutionally capitalized pairing with demonstrated lender relationships (including OZK) and a leasing engine suited to the Peninsula lab tenant pool, even as the sponsors manage through discrete credit events elsewhere in the portfolio [44, 45].

The practical implication for Bank OZK is that Portal 405's sponsorship is both substantial and cycle-tested: capable of funding lease-up if business plans are right-sized and structure is tight, yet operating amid a market that has already produced multiple special-servicing and foreclosure headlines for even the most seasoned owners.



Chapter Building II

Seattle, WA

Urban Renaissance Group (fka Touchstone) and Portman developed the two-tower “Chapter” project in Seattle’s University District, with joint-venture and construction capital arranged in mid-2022. Public reports cite \$196.2M in JV equity + construction financing for both towers (not Building 2 alone). The deed of trust confirms a Bank OZK construction loan of \$89.3M dated June 30, 2022 to Chapter Building 2 LLC [46].

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Owners & DevelopersProperty Search

Chapter Building II

Seattle, WA

PropertyRisk GradeValuation

Urban Renaissance Group LLC

Owner: Chapter Building 2 LLC

Market Value

\$53,094,714

LTV

168.2%

Occupancy

Pending

Mortgage Type

CRE

Category

Life Science

Bank OZK

Senior Lender: Bank of the Ozarks

Commitment

\$89,300,000

Originated

Jun 30, 2022

Maturity

Pending

Risk Grade ⓘ

5 - Criticized - Special Mention

Screenshot of Chapter Building II’s profile on Atrium

atrium

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Asset & Micro-Location

Chapter Building 2 is a 10-story, purpose-built life science building of ~148K–154K RSF at 4536 Brooklyn Ave NE, steps from the U District light-rail station and UW’s research core. Multiple primary sources place the program between ~148K and 154K sq ft, with ~85 underground parking stalls and lab-ready specifications [47].

Leasing Status

As of mid-2025, Building 2 continues to be marketed for direct life science lease-up; we have not found public announcements of executed lab leases. The building has hosted ecosystem events (e.g. Portal Innovations’ November 2024 showcase on the Chapter II rooftop—underscoring continued tenant outreach). For valuation, we assume effectively vacant today.

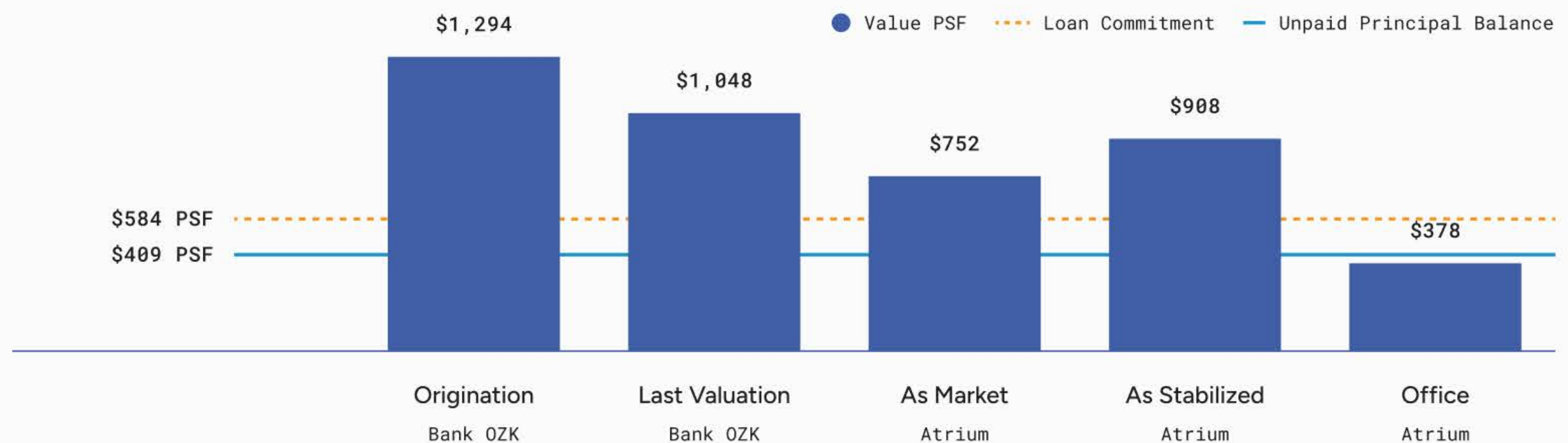
Submarket Dynamics

Seattle’s life science market has cooled from its peak yet remains fundamentally sound relative to Boston/sq ft. H1’25 data show 14.2% direct vacancy / 20.9% availability region-wide and average asking of \$70.44/sq ft in “Seattle Close-In” (SLU/U-District/near-core) [48]. Construction has tapered, with only one major new lab project in the pipeline. CBRE’s Seattle profile also flags 2024’s supply overhang and moderating demand. Taken together, U-District should price a notch below SLU but above suburban Bothell.

Atrium Signals Valuation Analysis

Our appraisal framework tracks Chapter Building II (Seattle U District) from origination to current, with parallel desktop views for as-market, as-stabilized, and a hotel-use sensitivity. The 10-story property at 4536 Brooklyn Ave NE comprises approximately 153,500 RSF (about 149,500 RSF life science and 4,000 RSF ground-floor retail).

- **As Stabilized Value at Origination (June 30, 2022):** When Bank OZK originated the \$89.3M loan, the bank’s disclosure pegged as-stabilized value at approximately \$198M. That figure reflected late-cycle underwriting for Seattle life science in the University District: base rents around \$75 NNN, a stabilized occupancy assumption of ~95%, and a 5.5% cap rate. On those inputs, the implied stabilized NOI was roughly \$10.6M, consistent with 2021–22 pricing for newly built, transit-proximate lab product.



Input

Market Rents	\$75.00	\$70.00	\$65.00	\$67.50	\$65.00
Market Occupancy	95%	90%	85%	90%	75%
Cap Rate	5.50%	6.00%	7.00%	6.25%	7.00%
SOFR	1.10%	4.53%	4.27%	3.15%	4.27%

Output

LTV	46%	57%	78%	64%	154%
Debt Yield	11.9%	10.5%	9.0%	9.7%	4.5%
DSCR	2.12x	1.16x	1.03x	1.27x	0.52x
Value PSF	\$1,294	\$1,048	\$752	\$908	\$378

- **As Stabilized Value at Q4 2024:** By Q4 2024, the bank's reappraisal reduced the as-stabilized value to about \$160M (a decline of roughly 19% from origination). Back-solving that mark implies modeled rents near \$70 NNN, stabilized occupancy of ~90%, and a 6.0% cap rate—capturing both softer income assumptions and a wider risk premium versus 2022. The implied stabilized NOI at this mark is approximately \$9.3M.
- **As Market Value (Atrium):** Our desktop as-market value is ~\$115M, based on \$65 NNN rents, ~85% market occupancy, and a 7.0% cap rate. This framework recognizes current leasing friction and near-term carry; it equates to an implied NOI of roughly \$8M and an as-market LTV of 78%.
- **As Stabilized Value (Atrium):** Assuming rents of ~\$67.50 NNN, ~90% stabilized occupancy, and a 6.25% cap rate, we estimate value at ~\$139M, which implies an NOI of approximately \$8.7M. This scenario presumes a normalized leasing cadence and no material functional obsolescence penalty.
- **As Office (Atrium):** A office-use sensitivity yields a value of ~\$58M, using \$65 gross rents, ~75% occupancy, and a 7.0% cap rate—underscoring the magnitude of value impairment under non-lab re-use and sitting well below the current OZK commitment.



- **Risk Grade 5 - Criticized - Special Mention** is appropriate. Chapter Building II is a lease-up credit in a softer Seattle life science cycle; our as-market $\approx$ \$115M implies $\sim$ 78% LTV on the \$89.3M commitment today with additional TI/LC and carry likely before cash flow, and our as-stabilized $\approx$ \$139M sits below the bank's \$160M (Q4'24) reappraisal and well under the \$198M (2022) origination mark—clear value migration and take-out sensitivity. Offsets include U-District adjacency to UW research, new purpose-built lab systems, and credible long-term demand relative to an office backstop that pencils at only $\sim$ \$58M (not a viable lender outcome). We would reassess to Risk Grade 6 (Substandard – Accrual) if leasing traction remains weak, net recoverable (as-market less costs/time discount plus likely advances) falls below outstanding, or sponsor support for TI/LCs is not evidenced; conversely, we'd revisit an upgrade to Pass–Monitor (RG4) upon execution of an anchor on in-market terms and visible velocity toward $\sim$ 90% stabilization.

Implications for Bank OZK

On a commitment basis, Bank OZK's \$89.3M first mortgage on Chapter Building II equates to roughly 78% of our as-market view (\$115M), falling to about 64% against our as-stabilized valuation (\$139M). On a funded basis—assuming a mid-cycle draw in the 60–75% range typical for a project delivered in 2024—current exposure likely sits nearer 47–58% of as-market and 38–48% of stabilized value, leaving OZK materially better positioned than the headline commitment LTV would imply. That cushion matters in a Seattle life science market that has cooled but remains comparatively orderly: CBRE's latest Puget Sound read shows direct lab vacancy of $\sim$ 14% and total availability near 21% in 1H25, with average asking rents around \$70/sq ft and a far smaller construction pipeline than peers, all of which argues for eventual absorption if owners can bridge carry and TI costs through lease-up.

Sponsorship here is deep and, importantly, diversified. The development JV pairs Touchstone (Urban Renaissance Group's development arm) with Portman Holdings and Lionstone Investments, with CBRE arranging both JV equity and the construction debt that included Bank OZK as lender. URG/Touchstone led the entitlement and development, Portman—heir to the John Portman “architect-as-developer” platform—brings multi-cycle development and capital markets depth, and Lionstone (historically backed by Columbia Threadneedle/Ameriprise) provided institutional equity. That stack delivered the project to completion and underwrote the hand-off to leasing.

There are two cross-currents to weigh on sponsor wherewithal. First, URG has been managing through a broader portfolio rationalization in Denver, including handing back 2399 Blake Street via a receiver appointment earlier this year—evidence that even seasoned operators have taken their medicine on legacy office risk. Separately, URG's Interlocken holdings (380/390 Interlocken Crescent, including Vail Resorts' HQ) was taken back by Western Alliance Bank as a part of its 5 Q2 2025 REOs. Neither episode appears to impair URG's ability to operate or lease Chapter II, and the firm has executed a planned leadership transition with founder/CEO Pat Callahan moving to the board and longtime CIO Matthew Simo assuming the CEO role at year-end 2024, reinforcing continuity of decision-making [49].

Second, Lionstone is winding down under Ameriprise/Columbia Threadneedle's direction, with roughly \$5.5–\$6.0B



of U.S. real estate being transitioned to other managers [50]. That corporate decision does not undo capital already deployed at Chapter, but it does reduce one avenue for incremental follow-on equity if the project needed additional sponsor capital. In our view, Portman and URG's ongoing roles mitigate that risk—both continue to operate and raise capital across cycles—but Lionstone's exit is a non-trivial change in the sponsorship mosaic and bears monitoring as cash needs for TI/LCs emerge.

Leasing is the hinge. CBRE's team—Greg Inglin, Laura Ford and David Abbott—has the life science mandate for the campus and is seasoned in placing lab/R&D demand in Seattle. With the University District benefitting from adjacency to UW research and a lighter new-supply pipeline than South Lake Union, we expect the marketing story to resonate once tenant budgets normalize. The macro backdrop isn't without friction—U.S. lab vacancy has risen into the low-20s across major markets—but Seattle's relative tightness and low construction pipeline should help Chapter II gain traction as pricing re-sets. Execution costs will still be significant: TI and concessions for first-generation lab remain heavy, which will pull forward cash needs before revenue stabilizes.

It's worth noting that Bank OZK has had a rough go of it as of late in Seattle. They took one property to OREO last year - Nitze-Stagen's 760 Aloha [51], a relatively small \$21.8M credit but one they currently hold as REO at a value of \$6.84M (a full 40% below November 2024 appraised value). The bank also currently has The Jack office building [52] as one of only 3 substandard rated credits - though we might argue that 1229 W Concord should be a 4th. That construction credit was originated by Claros Mortgage Trust before a collateral assignment to Bank OZK. It has since been delivered by Urban Visions into a soft office market and has achieved effectively zero leasing. Bank OZK notes a \$78M appraisal on the property, just barely above its \$72.5M commitment (\$56M has been deployed), but also has a \$16.1M ACL reserve against the asset, which we believe is prudent given the as-market value from Atrium Signals is probably closer to \$40-45M. Net net, Bank OZK knows the value of office buildings in Seattle, and the credit committee will be very familiar with Seattle office market dynamics.

Bottom line for OZK: this is a "carry and lease" credit with a capitalized sponsor group in a market it knows a little too well, that while slower than 2021–22, is not structurally impaired. Commitment-basis LTV looks high, but funded coverage is meaningfully better, and the borrower bench—URG/Touchstone, Portman, and (legacy) Lionstone—has thus far delivered the asset and kept the capital structure intact as far as we can tell. We would characterize Chapter Building II as a watch-list asset that earns time: performance is now principally a function of the leasing team converting University District proximity into executed lab deals over the next 12–24 months and of sponsors continuing to fund TI/LC obligations. If leasing momentum lags into 2026 or TI burn materially exceeds plan, we would expect pressure on risk grades; conversely, early anchor wins could move the credit back toward a conventional perform.



Presidio Bay Ventures: 777 Industrial

777 Industrial

San Carlos, CA

Presidio Bay Ventures (with Kinship Capital) redeveloped a former auto-dealership site into a new, Class-A life science lab/R&D building. Square Mile Capital originated \$118M of construction financing; \$95M of that note was later assigned to Bank OZK. The project's public materials and city files place the building between ~122K and ~147K RSF; current leasing collateral and trade coverage most often cite ~147K RSF.

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Owners & Developers Property Search

777 Industrial

San Carlos, CA

[Property](#)
[Risk Grade](#)
[Valuation](#)

 Presidio Bay Ventures, LLC Owner: 777 Industrial Owner LLC	Market Value <i>Pending</i>	LTV <i>Pending</i>	Occupancy <i>Pending</i>	Mortgage Type Development	Category Life Science
 Affinius Capital Senior Lender: Sm Tactical Finance III LLC	Commitment ⓘ \$118,113,981	Originated Apr 15, 2022	Maturity ⓘ 	 Risk Grade 6 - Criticized – Substandard	







Screenshot of 777 Industrial's profile on Atrium



Asset & Micro-Location

The four-story life science structure at 777 Industrial Rd sits just off US-101, walkable to Caltrain (San Carlos), amid a growing band of Peninsula lab projects between Belmont and Redwood City. Presidio Bay's project narrative and city planning portal detail the adaptive reuse scope and parking program; Cushman & Wakefield's active listing confirms full-building availability around 147,000 sq ft as of Q2–Q3'25.

Leasing Status

As of this writing, the building continues to market full floors / multi-floor blocks with no publicized lab leases. Both the C&W and LoopNet/CityFeet listings present the project as available.

Submarket Dynamics

San Mateo County (Peninsula) has swung to late-cycle oversupply. C&W's Q2'25 Life Sciences MarketBeat cites ~29%+ vacancy/availability metro-wide, with San Mateo posting the largest concentration of tenant requirements but still digesting a heavy delivery wave [53]. Colliers' Q2'25 Peninsula R&D report pegs overall vacancy ~23.6% (R&D/lab combined), driven by vacant new shells. Rents have been slipping from 2022 peaks, and concession packages (TI \$200+ and 12–18 months free for large blocks) remain common for first-generation lab.

Atrium Signals Valuation Analysis

Our appraisal framework tracks 777 Industrial (San Carlos) from origination to current, with parallel desktop views for as-market, as-stabilized, and an office-use sensitivity. The project—sponsored by Presidio Bay Ventures with Kinship Capital—redeveloped a former auto-dealership site into a Class-A lab/R&D building marketed at roughly 147,000 RSF. Square Mile Capital originated \$118M of construction financing, of which \$95M was later assigned to Bank OZK.

- **As Stabilized Value at Origination:** When Bank OZK came into the senior position, the bank's materials indicated an as-stabilized valuation of approximately \$281M. That figure reflected peak-cycle Peninsula lab underwriting: base rents around \$96 NNN, a stabilized occupancy assumption of ~95%, and a 4.75% cap rate. On those inputs, the implied stabilized NOI was roughly \$13M, consistent with late-2021/2022 pricing for new, purpose-built inventory in San Carlos/Belmont.



Input

Market Rents	\$96.00	\$90.00	\$69.00	\$72.00	\$69.00
Market Occupancy	95%	90%	70%	90%	70%
Cap Rate	4.75%	5.00%	7.00%	6.50%	7.00%
SOFR	0.29%	4.53%	4.27%	3.15%	4.27%

Output

LTV	35%	41%	104%	69%	177%
Debt Yield	13.7%	12.1%	6.7%	9.4%	4.0%
DSCR	2.86x	1.34x	0.76x	1.22x	0.45x
Value PSF	\$1,916	\$1,590	\$619	\$931	\$365

- As Stabilized Value at Q4 2024:** By Q4 2024, the bank's reappraisal reduced the as-stabilized value to about \$234M—a decline of roughly 17% from origination. Back-solving that mark implies modeled rents near \$90 NNN, stabilized occupancy of ~90%, and a 5.00% cap rate. The implied NOI at this level is approximately \$11.5M, reflecting both softer income assumptions and a wider risk premium than in 2022.
- As Market Value (Atrium):** Our desktop as-market value is ~\$91M, based on \$69 NNN rents, ~70% market occupancy, and a 7.0% cap rate, which capitalizes to an implied NOI of roughly \$6.4M. This outcome recognizes current leasing friction, heavier concessions, and near-term carry—placing as-market value below the \$95M senior loan.
- As Stabilized Value (Atrium):** Assuming rents of ~\$72 NNN, ~90% stabilized occupancy, and a 6.5% cap rate, we estimate value at ~\$137M, implying an NOI of approximately \$8.9M. This scenario presumes a normalized leasing cadence over the next several years without a material obsolescence discount.
- As Office (Atrium):** An office-use sensitivity yields a value of ~\$54M using \$69 gross rents, ~70% occupancy, and a 7.0% cap rate—underscoring the magnitude of impairment under non-lab re-use and sitting well below the current senior position.



- **Risk Grade 6 - Criticized – Substandard** is warranted. On a commitment basis, the as-market LTV is ~104% (\$95M / \$91M), leaving the senior effectively at parity with current market value before TI/LC and carry are funded. While there is a credible path back to coverage at stabilization—~69% LTV on our forward case (\$95M / \$137M) and ~41% on the bank's Q4-2024 mark (\$95M / \$234M)—repayment is execution-dependent in a tenant-favored Peninsula lab market. Until meaningful leases are executed, advancing dollars for TI/LC and negative carry will push funded exposure above value and keep the collateral under water on an as-market basis. Classification as Substandard is therefore appropriate pending (i) executed leasing that covers at least the first 30–40% of the rent roll on durable economics, and (ii) hard TI/LC and carry escrows (or incremental equity) sized to first-phase lease-up. Absent those, we would expect pressure toward non-accrual and a milestone-based restructure; with them, the credit can migrate toward Special Mention and ultimately a pass rating as stabilization comes into view.

Implications for Bank OZK

On a commitment basis, Bank OZK's \$95M senior position now sits roughly at parity with our as-market view (\$91M), so every dollar advanced for TI/LCs and carry will lift funded exposure above current market value until leases are executed. Forward coverage improves materially—~69% against our as-stabilized valuation (\$137M) and ~41% versus the bank's Q4-2024 mark (\$234M)—but realizing that cushion is purely a function of lease-up and the sponsors' willingness to pre-fund near-term cash needs.

The sponsorship profile here is entrepreneurial-institutional rather than megafund. Presidio Bay Ventures (PBV) led the redevelopment in JV with Kinship Capital; PBV's portfolio today skews toward residential, mixed-use, and commercial, with 777 Industrial one of only a small handful of PBV projects explicitly positioned as life science [54]. PBV has stood up a "Research Labs" vertical and is advancing additional lab/R&D concepts—e.g., the Ideate (ID8) campus at 686 Quarry Road and the Sequence two-phase plan—yet the firm's public portfolio remains dominated by multifamily and mixed-use assets, underscoring that life science is a newer but deliberate thrust rather than the core of the franchise.

The capital stack also merits attention. Public releases confirm Square Mile Capital originated a \$118M construction loan for 777 Industrial in April 2022; Bank OZK now holds a \$95M interest in the note. While the assignment mechanics are not publicly detailed, the simplest read is that Square Mile retained the non-assigned junior interest, leaving OZK in the senior position alongside a known mezz/senior partner. That pairing is consistent with the firms' broader relationship—Square Mile has recently co-originated construction loans where Bank OZK provided the senior (e.g., Southline Phase I in South San Francisco) and the two teamed up on large industrial construction in Arizona—evidence that inter-counterparty alignment should be workable if the project requires phasing, re-cuts, or additional capital.

Leasing is the immediate hinge for the bank's downside protection. The building is marketed at roughly 146–147K



RSF, with Cushman & Wakefield in the agency seat—a credible platform for Peninsula lab demand at this scale—which supports the view that, once net-effective pricing resets are digested, the asset can compete for mid-size users. Until then, structure is the first line of defense: tight cash management, milestone-based advances, and TI/LC escrows sized to a first anchor. If PBV/Kinship convert tours at or near underwriting, value should migrate toward the \$137–\$234M range; if traction lags, funded exposure will remain underwater on an as-market basis and the conversation shifts to earlier equity cures and phased build-outs tied to commencement tests.

Netting these factors, it is accurate to view PBV/Kinship as smaller than our megafund sponsors but credible for first-phase execution, with a patient family-office partner and a repeat-player debt counterparty in Square Mile that has worked alongside OZK elsewhere. The implication for OZK is straightforward: this is a carry-and-lease credit where sponsor alignment and disciplined structure will determine whether today's parity turns into restored senior coverage as leasing materializes.

Conclusion

Navigating the Downturn

The U.S. life science property market in 2025 is no longer the bulletproof sector investors imagined in 2020. Deliveries that once looked well-timed now feel mistimed, tenant demand that once outran supply is moving more deliberately, and concessions that were unthinkable three years ago are now standard. From South San Francisco to Somerville, the pattern repeats: world-class buildings delivered with no leases and chasing a cautious tenant base, with landlords underwriting \$200/sq ft improvement packages and 12–18 months free rent just to get momentum.

Bank OZK's portfolio of life science construction loans sits squarely inside that supply wave. But what distinguishes this bank from nearly every other lender is transparency: OZK tells the market what its appraisals say, quarter by quarter, building by building. That decision has turned George Gleason's balance sheet into a window into the entire asset class. Citi's May 2024 downgrade, and the 14–16% stock reaction that followed, showed how quickly the narrative can shift when headline numbers are taken at face value. What that reaction often misses, however, are the mechanics—funded versus unfunded balances, reserve structures, and the difference between as-market and as-stabilized math.

Our analysis of ten emblematic projects shows the nuance. On a commitment basis, two loans are through 100% as-market LTV (1229 W. Concord and 777 Industrial) and one sits at parity (Portal 405); the balance—RaDD (~86%), Pacific Center (~82%), 808 Windsor (~73%), Chapter Building 2 (~78%), Aperture (~79%), Southline (~61%), and Bioterra (~62%)—remain below. On a funded basis, coverage improves materially: RaDD (~52%), Bioterra (~43%), Southline, 808 Windsor, Chapter, Aperture, Portal 405 (~70%), and Pacific Center (low-80s) screen inside 100%, while 777 Industrial remains above parity and 1229 W. Concord hovers near it depending on draw. We also ran desktop office-conversion cases; almost none pencil given lower gross rents, shorter lease terms, and conversion capex, resulting in values well below the senior. 1229 W Concord is the live test of this strategy, it is past maturity and actively being marketed and will test whether a vacant shell will sell at life science numbers or office numbers. This is why the conversation is not binary: it's about timing, sponsor depth, and the bank's willingness to fund TI/LC dollars through a downturn. Gleason has been explicit: these are not condo towers in the 2007 sense; they are sponsor-backed, institutionally capitalized projects with substantial equity already committed. Finally, the current loan basis of the projects is generally low and below replacement cost, suggesting that new ownership could execute with a business plan without material discounted payoffs.

Scale also matters. The ~\$2.8B of life science commitments we track here sits inside a \$30+B real estate portfolio, with loss reserves that could absorb a range of plausible outcomes. That doesn't erase risk—stretched as

is LTVs are real, especially in weaker submarkets—but it does contextualize it. For equity investors, that means the story is less about whether OZK is “next” and more about how its model performs under the toughest test it has faced since the condo cycle. For CRE professionals, it’s a case study in how speculative development capital interacts with tenant demand when the cycle turns.

The story is not entirely bleak, there are signs of life in the life science world. Bank OZK’s 2020 vintage loan on a Boston development — Lincoln Property Company’s 300 Third Ave in Waltham [55] — from a year or two before most of these loans were originated, is now 75% leased, basically right at or near market occupancy. Out in San Diego Breakthrough Properties’ 520k square foot “Torrey View” campus was delivered in 2024 and was fully leased at delivery [56]. Breakthrough Properties also acquired a 65% stake in Callan Ridge for \$1,275 sq ft and just bought 49% leased MUSE property for \$854/sq ft, which add context to Bank OZK’s San Diego exposures where even at the commitment level they are in at \$565/sq ft blended. If and when life science funding returns, many of these campuses will be desirable destinations for those on expiring leases at aging facilities.

History suggests George Gleason is at his most convincing when the numbers catch up with him. OZK has been through waves of skepticism before, from New York condo towers to Dallas high-rises. Each time, critics called the concentration unsustainable; each time, the bank worked the loans to completion and repayment. The life science cycle may prove longer and messier than most, and it will require patient sponsors and persistent lenders. But this report makes clear: the story is not collapse, nor is it complacency. It is a bank with unusual visibility, a sector in retrenchment, and a set of assets whose fates will turn on the slow, grinding work of lease-up or conversion.

In that sense, the real question isn’t whether Bank OZK survives this cycle. It’s what this cycle teaches us about the limits of specialized lending, and how the country’s most scrutinized construction lender navigates an industry that, for the first time in a decade, has more lab benches than scientists to fill them.

— atriumdata.ai

All of the data and analytics used in this report are available via subscription access to our platform. Subscribers receive full property-level profiles, loan and sponsor details, valuation history, and market benchmarking tools.

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